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CHIEF INVESTMENT OFFICE

Capital Market Outlook

August 24, 2026

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Macro Strategy—*Structural Shift Coming in U.S.—Japan Policy Coordination:* Investors are naturally skeptical of foreign exchange intervention by governments to stop weak currencies from depreciating further. The recent joint intervention by the U.S. and Japan was surprisingly not met with such skepticism. It is also the case, however, that well timed intervention can mark a fundamental shift in macro forces that signal a major trend change in currencies. In our view, the recent intervention by the U.S. and Japan to stop the yen's slide marks an important turning point in fundamentals that will strengthen the yen significantly in coming years. The stars are aligned to make this intervention work rather than failing by throwing sand in the wind. Policy shifts are likely to support the fundamental forces that are already in place to help strengthen the extremely undervalued yen. For U.S. investors, this implies a stronger currency would amplify returns from the solid Japan stock market already benefiting from the fundamental reforms that were implemented in the first phase of Abenomics.

Market View—*The Expanding Arctic Economy and What It Means for Investors:* The ongoing Iran/U.S. war has once again highlighted the dependence of global supply chains on key geographical chokepoints. But the contested waterways in the Middle East may yet contribute to a broader reconfiguration of global shipping patterns beyond export activity from the region itself. Along Russia's Arctic coast, the Northern Sea Route in the Arctic Ocean is emerging as a viable transit channel for seaborne trade between Europe and Asia and an alternative shipping lane to the Suez Canal route through the Red Sea. Earlier this month, China's container shipping company Sea Legend Shipping launched its first regular service for goods trade via the route. This marks a major departure from the more intermittent crossings that the waterway has previously served and is likely to portend further growth in economic activity across the Arctic region.

Thought of the Week—*U.S. Debt Levels: It's Not All Bad News:* It's official—Total U.S. government debt just surpassed $40 trillion, having more than doubled in less than a decade. However, it's not all bad news. Debt held by the public stands at roughly 100% of gross domestic product (GDP), a manageable level in our view. Most importantly, the U.S. consumer and corporate sectors remain in healthy shape, positioning growth to counteract higher deficits.

While the budget deficit at 6% of GDP bears watching, the good news is that the number one engine of growth, the consumer, has deleveraged significantly since the 2008/2009 Great Financial Crisis (GFC), with debt as a share of assets at its lowest level since 1963. Meanwhile, having locked in debt at low rates during the pandemic, corporate balance sheets are in good shape. Looking ahead, the biggest tail risk to households highly exposed to equities would be a bear market that weighs on higher-income spending. That's far from our base case. We think growth and corporate profits can keep the level of debt manageable for now.

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Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets, and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

MACRO STRATEGY

Structural Shift Coming in U.S.—Japan Policy Coordination

Chief Investment Office, *Macro Strategy Team*

Alone among the major economies in the world, Japan has embraced the new administration's efforts to restructure geopolitics—or, at least, has not resisted these changes like the rest of the G7 countries. The issues fueling this resistance, like immigration, for example, just don't resonate in Japan, where there is a solid consensus supportive of long-standing barriers to opening borders. Japan finds itself in the unusual position of having a broad social consensus and much less political friction than the rich countries of the western world that are currently torn by polarization.

In addition, Japan has pursued a set of policies since about 2012 dubbed "Abenomics" with three arrows: monetary easing, fiscal spending and structural reforms to come out of the deflationary funk that prevailed from 1990 until recently. Now, as the U.S. Treasury Secretary said when announcing the joint U.S./Japan decision to intervene in the foreign-exchange market, the new Prime Minister's government is "moving into an exciting new phase of Abenomics, as nearly 15 years of powerful stimulus have created durable, robust underlying economic dynamics." This new policy phase is part of the fundamental shift that would support the yen. It includes higher Bank of Japan (BoJ) policy rates, a shrinking primary fiscal deficit that is set to turn into a surplus and continued corporate governance reforms that are transforming the Japan equity market into a more attractive destination for investors.

These positive fundamentals help explain why the U.S. Treasury Secretary has announced strong support for "Japan's decisive market and monetary steps to correct the substantial undervaluation of the yen."

The yen is massively undervalued. Exhibit 1A shows the yen's foreign exchange value in purchasing power parity terms: how much the yen buys in Japan versus how much you can buy in the rest of the world when the yen is converted to other currencies. As can be seen, the yen is currently as cheap as it's ever been, even cheaper than in the 1970s when it was deliberately undervalued to generate burgeoning trade surpluses. While currencies can stay undervalued longer than an investor can stay solvent, betting that they will revert to fair value, over long periods of time they do revert to fair value and even overshoot, usually for a period of time when the fundamental forces continue to push the trend past fair value. Fair value is the point where the yen or any currency's value attains purchasing power parity, meaning it can buy the same thing in Japan, for example, as it can in the U.S. when converting the yen to dollars. Currently, fair value for the yen is about 120 yen per dollar, compared to recent market values around 160 yen to the dollar, implying it is about 25% undervalued.

Macro forces to push it back toward fair value imply that the next phase of Abenomics should narrow the large interest rate differential with the dollar in money market, where yen carry trades borrow yen at near-zero interest rates and purchase U.S. assets, yielding much higher rates. As the BoJ raises its policy rate, the incentive to do this diminishes. During the first phase of Abenomics, capital outflows to invest in other countries with higher yields kept downward pressure on the yen that would reverse if new policies incentivize investors to repatriate their money into yen investments. Japan has the third largest level of wealth in the world after the U.S. and China.

Moreover, Japan's wealth is much more evenly distributed over its population, making the average Japanese retail investor a bigger participant in financial markets. A perception that the yen's trend has changed could have a powerful effect on Japanese investors, making them repatriate capital which would likely be part of the reinforcing dynamic of a strengthening yen trend. An already strong Japan stock market is an attractive destination since Abenomics instituted corporate governance reforms, helping investors by increasing corporations' focus on dividends and earnings.

Investment Implications

A stronger yen and less robust dollar are bullish for global Equities, including Emerging Markets where widespread dollar debt becomes less burdensome in a weaker dollar environment. A softer dollar also tends to be supportive of global growth which is good for cyclical and risk assets.

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Finally, Japan fiscal policy has shifted its emphasis toward reducing the deficit, which is improving faster in Japan than in other major economies to the point where a primary surplus is projected in 2027 or 2028. The point is Japan has moved its economy into closer alignment with the other major economies by boosting nominal growth and achieving a 2% inflation rate that all the naysayers said was impossible when Abenomics was launched over a decade ago.

The dollar is overvalued. The U.S. is not helping Japan purely out of kindness. It stands to benefit as well. The other half of this realignment of policies to strengthen the yen is a shift in U.S. policies. Exhibit 1B shows the dollar is overvalued to an unprecedented degree in the past half century. This overvaluation means the dollar buys a lot more in Japan when you convert it to yen than it does in the U.S. Recent movements in U.S. markets hint at the policy realignment that's coming from the Federal Reserve (Fed) and Treasury to coordinate with Japan efforts to reverse the yen's slide, weaken the dollar and make U.S. exports more competitive.

First, it's clear that long-term rates are normalizing more in line with higher nominal growth rates after the long period of secular stagnation and zero rates. The Artificial Intelligence boom has turbo-charged private sector demand for long-term credit, adding to the demand from fiscally strapped governments around the world. Long-term rates are market barometers of financial conditions. In the U.S., they are saying that real rates will be higher because of stronger growth and the increased demand for long-term credit. They are also saying inflation expectations remain well-anchored—consistent with the Fed's 2% target.

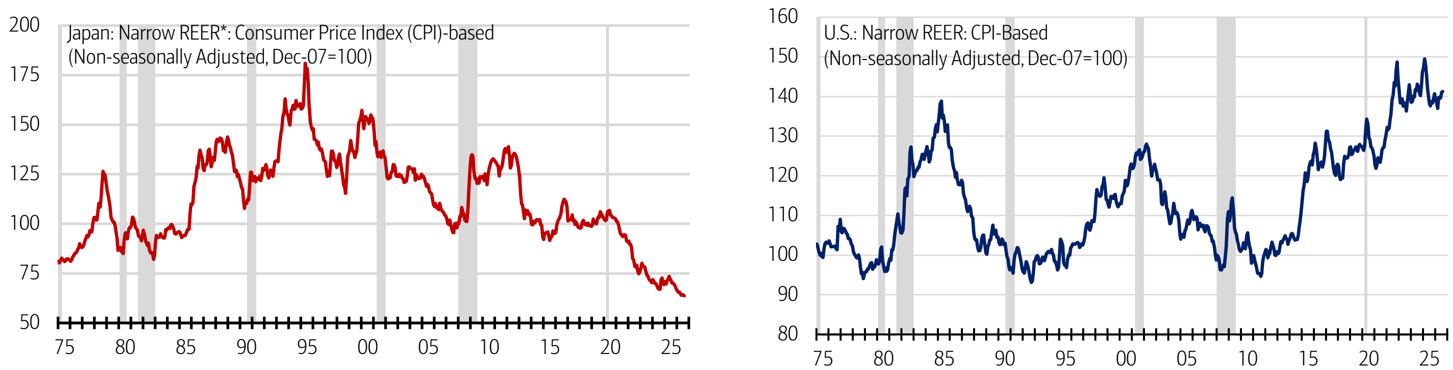
The increased pressure on long-term rates makes it relatively more attractive for the Treasury to finance its big deficit at the short end of the yield curve. Recent comments from the Treasury suggest long-term issuance might be cut at future refundings. Financing short-term borrowing at less than 4% rather than 5% at the long end is likely to grow. In essence, this is how Japan has reduced its primary deficit by borrowing massively at zero interest rates at the short end and spending to boost nominal GDP, which grows tax revenues faster and also allows the government to buy higher-yielding investments in Japan and all around the world. In the U.S., the faster nominal growth rate would also generate faster-growing tax revenues.

The new policy mix to strengthen the yen would work better if the policy rate differential determined by the BoJ and Fed narrows. Rate hikes in Japan should help accomplish that. Holding short rates in the U.S. steady rather than raising them would also support the yen and allow for cheaper Treasury deficit financing, assuming the new Fed reaction function addresses inflation through the balance sheet and money supply control. This helps explain why, despite higher long-term yields recently, short-term rates have been falling.

Exhibit 1: Valuations Fundamentally Support Stronger Yen.

A) Yen massively undervalued.

B) Dollar massively overvalued.



*Real Effective Exchange Rate. Exhibit 1A) Sources: Bruegel; Haver Analytics. Data as of August 13, 2026. Exhibit 1B) Sources: Bruegel; Haver Analytics. Data as of August 13, 2026. Please refer to index definitions at the end of this report.

The Expanding Arctic Economy and What It Means for Investors

Ehiwario Efeyini, ***Director and Senior Investment Strategist***

The ongoing Iran-U.S. war has once again highlighted the dependence of global supply chains on key geographical chokepoints. Since the start of the conflict, close to 75% of the roughly 20 million barrels per day of oil and over 90% of the roughly 10 billion cubic feet per day of liquefied natural gas (LNG) that previously passed through the Persian Gulf has been lost to regional disruption,[1] forcing importers to draw down their domestic inventories and diverting energy export volumes to alternative routes around the Arabian Peninsula.

But the contested waterways in the Middle East may yet contribute to a broader reconfiguration of global shipping patterns beyond export activity from the region itself. Further north along Russia's Arctic coast, the Northern Sea Route (NSR) through the Northeast Passage in the Arctic Ocean is emerging as another viable transit channel for seaborne trade. The NSR connects Asia to Europe as an alternative shipping lane to the Suez Canal route through the Indian Ocean and the Red Sea. And, at over 8,000 kilometers shorter than the Suez route, it also reduces the total journey time between the two markets by up to 50%, or some two to three weeks. Until now, the NSR has primarily served as a corridor for Russian oil and gas bound for East Asia, particularly alongside increasing China/Russia cooperation. But earlier this month, China container shipping company Sea Legend Shipping launched its first regular service for goods trade via the route. The so-called China-Europe Arctic Express will consist of eight weekly 20-day voyages between mid-August and early October from Ningbo on China's eastern coast to Felixstowe in the UK, with further connections at ports in the Netherlands, Germany and Poland. And it marks a major departure from the more intermittent crossings that the NSR has previously served.

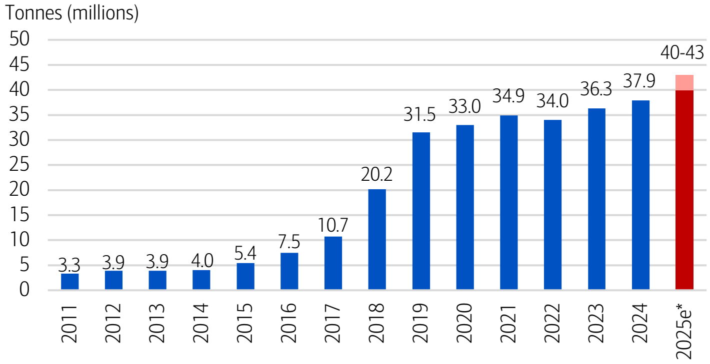
Cargo vessels typically require the assistance of icebreaker ships to traverse the Northeast Passage on a year-round basis. But climate change-induced melting of the Arctic sea ice is creating more viable conditions for ice-class commercial ships without the need for icebreakers during the summer months, reducing cost and transit time. Reflecting this increase in accessibility, a total of 167 new ice-class ships were built in 2025, according to maritime software firm Veson Nautical, the most in over a decade. And in 2024, close to 38 million tonnes of cargo were shipped through the NSR—the highest volume on record and a near-tenfold increase from a decade earlier (Exhibit 2A). These quantities should only increase further in the years ahead as seasonal access is extended (60% to 70% of annual cargo is currently transported between July and November), and as China sends more cargo vessels along the route.

Investment Implications

Growing economic activity in the Arctic region should be a source of support for global industrials and reinforces our constructive view on the sector. The need for greater capacity in ice-class vessels should boost demand for shipbuilding services and equipment. Engineering and construction demand should improve in response to a growing need for physical infrastructure along the Northern Sea Route. And geopolitical frictions between Russia and Arctic North Atlantic Treaty Organization (NATO) members should lift global defense spending.

Exhibit 2: Shipping Volumes Through The Northeast Passage Have Expanded; Russian Icebreaker Fleet Exceeds the Rest of the World Combined.

A) Cargo volume through the Northern Sea Route.



B) Global icebreaker fleet by country.

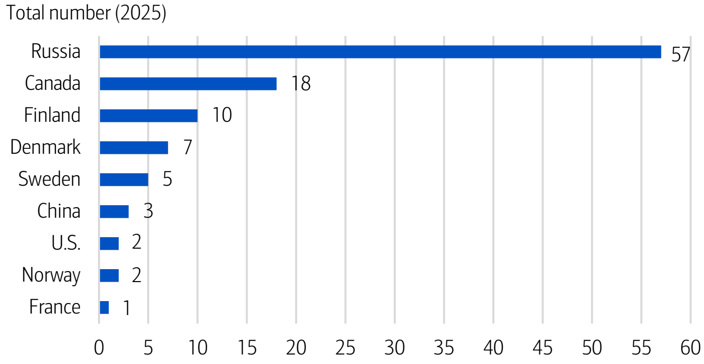


Exhibit 2A) *e=estimate for 2025. Source Northern Sea Route Administration. Data as of 2025. Exhibit 2B) Source: Atlas Institute for International Affairs. Data as of 2025.

[1] As at the second quarter of 2026 (U.S. Energy Information Administration).

Russia has long dominated economic activity in the Arctic region since the U.S. presence declined at the end of the Cold War. It still has by far the largest number of icebreaker ships of any country in its fleet at 57—more than the rest of the world combined (Exhibit 2B). And given its administrative control of the NSR, Russia currently only allows its own icebreakers to guide vessels through the waterway. But the new China Sea Legend service is the culmination of more than a decade of China's closer engagement with the region since 2013, when it obtained observer status in the eight-member Arctic Council (consisting of Russia, Canada, Denmark, Finland, Iceland, Norway, Sweden and the U.S.). This has since led to greater China cooperation with a number of Arctic and near-Arctic countries across a range of projects, including the improvement of compatibility between Russia and China satellite navigation systems, the use of Estonia as a transit and logistics hub for China e-commerce with other countries in the region, and collaboration with Iceland to develop new geothermal energy infrastructure within a number of China cities.

Alongside economic cooperation and commercial goods trade, China's interest in the region also extends to natural resources. According to the U.S. Geological Survey, the Arctic holds an estimated 13% of untapped global oil reserves and 30% of untapped global natural gas reserves, in addition to critical metals used in battery storage, electronics and aerospace such as nickel, cobalt and titanium. Though these may be more costly to extract due to the greater logistical challenges of operating in the region, the economics of Arctic resource production should improve with rising polar temperatures, growing operational experience, and state-supported China investment. Energy and other industrial commodity exports from Russia currently dominate activity in the Northeast Passage. According to the Northern Sea Route Administration, trade in commodities accounted for close to 90% of the tonnage transiting the NSR in 2024—primarily LNG (47%), crude oil and petroleum products (23%), and dry bulk commodities such as coal and metal ores (18%). But China's involvement in Arctic resource projects is likely to increase over time, and the share of general container traffic between Europe and Asia should also rise with more participation from China commercial vessels.

For investors, growing economic activity in the Arctic region should be a source of support for global Industrials, and reinforces our constructive view on the sector. The need for greater capacity in ice-class vessels should boost demand for shipbuilding services, in addition to specialized shipping equipment and materials used in their manufacturing such as shrouded propellers, enhanced power systems and steel plating for hull reinforcement. In 2025, for example, the U.S. signed a $6.1 billion deal with Finland (which designs the majority of icebreaker ships globally) to develop 11 new icebreakers, and China is also expanding its fleet. Engineering and construction demand should improve in response to a growing need for physical infrastructure (particularly in ports) along the NSR, which lags well behind that of more established shipping lanes. And China's deepening integration with the region, coupled with its closer ties to Russia, is also likely to increase geopolitical frictions in the Arctic. Among the eight Arctic nations, all but Russia are NATO members. And the region sits directly below the shortest intercontinental flight path between the U.S. mainland and Russia's strategically critical Kola Peninsula in its northwest. Russia also operates an estimated 30 to 40 military facilities along its Arctic coast. And though icebreaker ships are primarily deployed for research, trade, and search-and-rescue, their dual-use capability as naval escorts and in support of naval supply lines leaves Russia with a clear military advantage over the other seven Arctic Council members. This should lift global defense spending as NATO countries look to boost their own naval presence and surveillance capacity in the region.

U.S. Debt Levels: It's Not All Bad News

Ariana Chiu, Assistant Vice President and Investment Strategist

It's official—Total U.S. government debt just surpassed $40 trillion, having more than doubled in less than a decade. However, it's not all bad news. First, the number worth focusing on is debt held by the public which, at $32 trillion, stands at roughly 100% of GDP, a manageable level in our view (Exhibit 3). Second, the U.S. consumer and corporate sectors are in healthy shape, positioning growth to counteract higher deficits.

Yes, given a trifecta of already-elevated debt levels, outsized budget deficits and higher interest rates, U.S. government debt is biased higher from here. Interest payments alone neared $1.2 trillion in the first 10 months of this fiscal year, up 15% year-over-year.[2] Add large mandatory outlays, elevated defense spending as the war in Iran approaches its seventh month, and tariff refunds in excess of $120 billion,[2] and the result is a budget deficit still running at 6% of GDP.

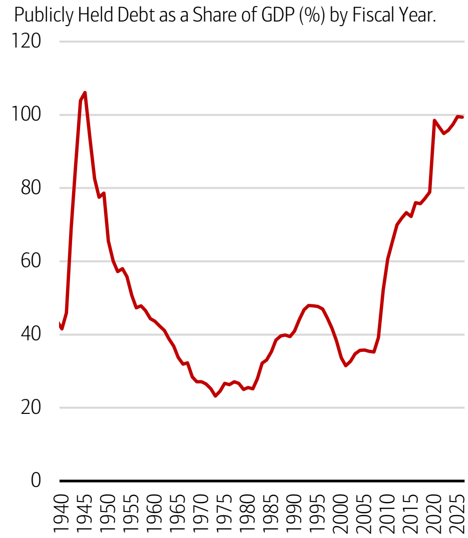
But don't forget about the denominator, i.e., growth. The first piece of good news is that the number one engine of growth, the consumer, remains historically healthy. In fact, for all the attention on elevated consumer debt in nominal terms, the reality is that U.S. consumers have deleveraged significantly since the GFC—so much so that the ratio of liabilities to assets hasn't been this low since 1963, according to Fed data (Exhibit 4A). Of course, a major boost has come from the coincident rise in asset values across equities and real estate. Together, Real Estate, liquid assets including Equities, and pension funds now make up nearly 85% of total household assets.[3] The second piece of good news: Corporates locked in debt at low rates during the pandemic era, translating to lower interest payments and more cash available for investment, buybacks, and more (Exhibit 4B).

Looking ahead, we continue to monitor debt across the consumer, corporates and the government. With U.S. households holding a near-record share of their assets in the equity market, the biggest risk to the consumer outside of an external shock would be a bear market that weighs heavily on higher-income spending. That's far from our base case. We think instead that growth and corporate profits can continue to prove resilient, enabling debt to remain manageable. In the meantime, we expect the government will continue to favor shorter-duration issuance. Critical to all of this will be ongoing demand for Treasurys which, contrary to concerns, should continue to be strong in our view.

Investment Implications

U.S. consumers and corporates are healthy, providing fundamental support for our view that U.S. economic growth can remain strong. Resilient growth should keep U.S. debt manageable for now, and we continue to fade concerns of waning demand for U.S. Treasurys.

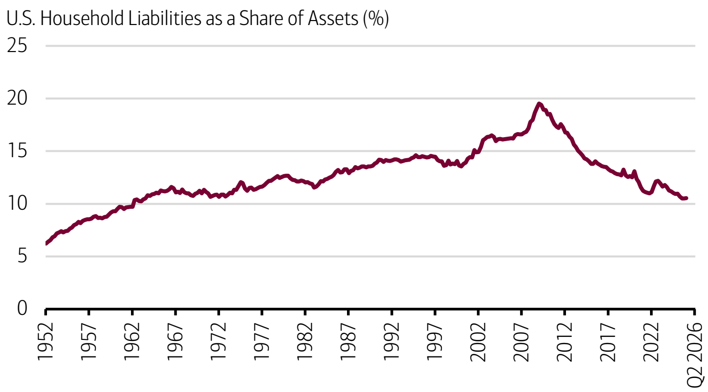
Exhibit 3: U.S. Debt-to-GDP Stands At Approximately 100%



Sources: Office of Management and Budget; U.S. Treasury; Bureau of Economic Analysis. 2026 value refers to the latest debt figure from the U.S. Treasury divided by the Q2 GDP. Data as of August 20, 2026.

Exhibit 4: The Good News: Consumer and Corporates are in Healthy Shape.

A) Consumer leverage at lowest since 1960s.



B) Corporates refinanced at lower rates during the pandemic.

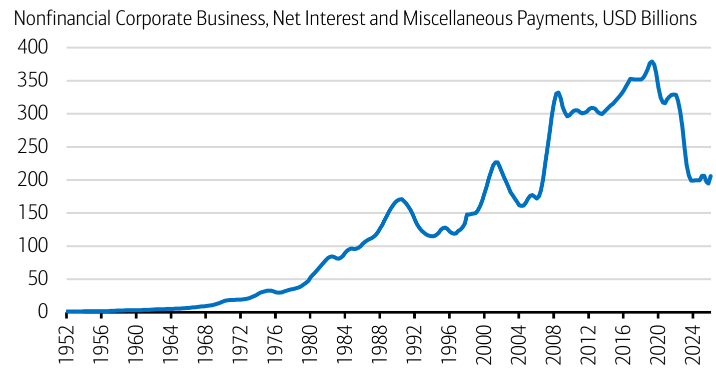


Exhibit 4A) Sources: Federal Reserve; Haver Analytics. Liabilities include consumer credit, home mortgages, and other liabilities including other bank loans. Assets include nonfinancial and financial assets. Data as of August 20, 2026. Exhibit 4B) Source: Federal Reserve. Data as of June 11, 2026.

2 U.S. Treasury. Data as of August 20, 2026.

3 Federal Reserve. Data as of June 11, 2026.

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MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
Equities	Current	WTD	MTD	YTD
DJIA	53,277.01	-0.8	1.6	12.0
NASDAQ	26,180.46	-2.0	3.2	13.1
S&P 500	7,674.37	-1.4	2.5	12.9
S&P 400 Mid Cap	3,830.40	-2.4	2.0	16.8
Russell 2000	3,017.87	-1.6	3.0	22.5
MSCI World	4,969.82	-1.2	2.6	13.1
MSCI EAFE	3,243.62	-0.5	2.3	14.1
MSCI Emerging Markets	1,721.89	1.2	3.5	24.2

Fixed Income†

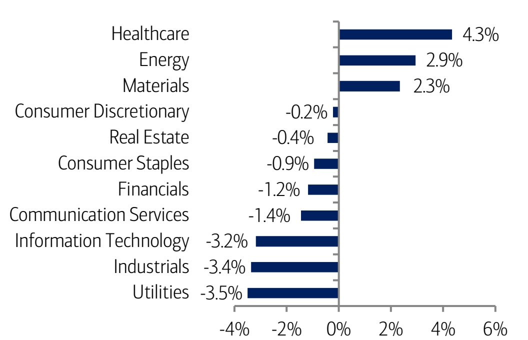
	Total Return in USD (%)			
Fixed Income	Current	WTD	MTD	YTD
Corporate & Government	4.87	-0.11	0.28	-0.53
Agencies	4.57	-0.10	0.29	0.54
Municipals	3.90	-0.58	0.22	0.65
U.S. Investment-Grade Credit	4.96	-0.10	0.35	-0.34
International	5.47	-0.15	0.21	-0.62
High Yield	7.29	-0.15	0.73	2.44
90 Day Yield	3.79	3.78	3.75	3.63
2 Year Yield	4.24	4.17	4.29	3.47
10 Year Yield	4.73	4.69	4.73	4.17
30 Year Yield	5.27	5.26	5.27	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	362.20	3.8	6.6	31.1
WTI Crude $/Barrel††	87.06	5.7	2.8	51.6
Gold Spot $/Ounce††	4603.07	5.2	13.8	6.6

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.17	1.16	1.15	1.17
USD/JPY	158.95	159.32	157.40	156.71
USD/CNH	6.72	6.74	6.75	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 8/17/2026 to 8/21/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 8/21/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 8/21/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.4
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.5	2.4	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.2	2.9	3.2	2.0
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.5	2.5	2.5
Unemployment rate (%)	4.3	4.3	4.2	4.2	4.2	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of August 21, 2026.
Sources: BofA Global Research; GWIM ISC as of August 21, 2026.

Asset Class Weightings (as of 8/4/2026)

	CIO View				
Asset Class	Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

	CIO View				
Sector	Underweight		Neutral	Overweight	
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of August 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Consumer Price Index is a key economic indicator that measures the average change over time in the prices paid by urban consumers for a market basket of consumer goods and services.

Important Disclosures

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

August 17, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Wading Through the Data:* The Fed's Rate-hike Conundrum: Rebounding oil prices amid persistent Middle East tensions, together with heavy corporate and Treasury bond issuance, have maintained some upward pressure on longer-term interest rates. Against this backdrop, however, a soft July employment report and relatively favorable inflation data over the past month have reduced the odds of the Federal Reserve (Fed) raising rates in September. The mixed data bag has created a conundrum for the Fed.

Meanwhile, against a backdrop of surging profits, Equity benchmarks have broadly reached fresh highs, credit spreads have remained narrow, and market volatility has stayed low consistent with limited systemic risks. Artificial Intelligence (AI)-related investment, government investment incentives, high productivity, restrained labor costs, and resilient consumer spending growth have created an exceptionally strong corporate earnings environment. U.S. oil producers have also benefited from unexpectedly high prices this year. All told, the risk-asset outlook remains constructive.

Market View—*Sounding the Arsenal Alarm:* Just how depleted the nation's munitions stockpiles have become is now an open question. While estimates exist, years of underinvestment and overlapping geopolitical conflicts have exacerbated stockpiles and have now elevated rearming to a national security priority.

Higher defense spending targets and commitments globally for arms, rearmament and defense technology continue to support the momentum the aerospace and defense sector has seen late in the summer. At the same time, and extending beyond traditional armaments, commercial aviation backlogs, fleet modernization and emerging technologies such as drones, cybersecurity and advanced defense systems are also driving the defense narrative with potential investment opportunities spanning both public and private markets.

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- What, in our view, is the largest risk in the markets right now?

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Christopher Hyzy
Chief Investment Officer

Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer-dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets, and global strategies to capture themes from AI, reindustrialization, infrastructure growth and market dispersion.

Wading Through the Data: The Fed's Rate-hike Conundrum

Chief Investment Office, *Macro Strategy Team*

Rebounding oil prices amid persistent Middle East tensions, together with heavy corporate and Treasury bond issuance, have maintained upward pressure on longer-term interest rates in recent months. Still, 10-year Treasury yields have remained at a normal level within their two-year range, as relatively anchored inflation and inflation expectations alongside a weak July employment report have lowered the odds of a Fed rate hike in September.

Investment Implications

Long-term yields may remain under upside pressure from AI-related debt issuance, fiscal concerns, and high oil prices but are unlikely to increase enough to offset strong tailwinds to risk assets from AI investment and higher trend productivity growth.

According to the Bureau of Labor Statistics, non-farm payroll employment shrank by 23,000 in July, with gains over the prior two months revised significantly lower. While the July setback was concentrated in government jobs, the 30,000 increase in private-sector jobs fell short of expectations. Manufacturing added 5,000 jobs in July, while the private sector excluding healthcare and education added a negligible 5,000 jobs. This left private-sector employment higher by 500,000 year to date, 67% centered in healthcare and education. The decline in unemployment to 4.1% has mainly reflected labor-force contraction due to reduced immigration and retiring baby boomers, with the labor force now 2.4 million smaller than in December, an unprecedented drop outside the pandemic.

Still, despite the sharp drop in the labor force, job openings have increased by only about 700,000 year-to-date (YTD). The quits rate has stabilized over the past year at a level last seen in 2016 and below its long-term average. Average hourly earnings barely increased in July and rose just 3.15% year-over-year (YoY). The Conference Board's labor-market differential—the share of consumers reporting that jobs are plentiful minus those saying they are hard to get—has continued to decline, confirming the downtrend in the job-openings and quits rates (Exhibit 1A). Its dip through July suggests job openings probably shrank again after a slight June drop. These indicators suggest that workers still perceive fewer outside opportunities as employers remain cautious about expanding payrolls and raising pay—in other words, there's been more to weak hiring than just a shrinking labor supply.

Signals from the Institute for Supply Management (ISM) manufacturing and non-manufacturing surveys have also remained mixed. The manufacturing index strengthened in July. Consistent with a broadening AI-related industrial revival, its employment subindex moved into expansion territory for the first time in three years. New orders inched slightly further above their 25-year average—a positive signal for economic growth and corporate earnings. In contrast, the ISM services index barely rose, remaining below both its February peak and its 25-year average. While new orders edged up just above their historical average, its employment subindex stayed in contraction territory for the fourth time in five months.

Signals from the National Federation of Independent Business survey, which rose noticeably in July, are also mixed: spiking job openings and strengthening plans to increase employment (consistent with other data showing labor demand may be stabilizing rather than deteriorating further) alongside moderate plans to raise worker pay (reinforcing other signals of tepid labor demand and wage pressures).

For an inflation-focused Fed, mixed growth data, soft employment, slow wage growth, and strong productivity trend growth may not be sufficient to rule out rate hikes given the drop in unemployment. However, inflation has also shown further signs of easing. June consumer inflation was softer than expected, and the recently released July consumer price index (CPI) report was tame again, with "core" CPI up only 1.6% annualized over the past three months and its YoY growth rate slowing to 2.47% (Exhibit 1B). Housing inflation remains relatively elevated but has gotten closer to its 30-year average following significantly cooler monthly readings in June and July. "Core" CPI inflation excluding housing also eased again and remained near 2% in July.

"Cyclical" inflation—covering prices typically more responsive to business-cycle and labor-market conditions—has dropped toward prepandemic levels and remains on a downward trend. Remaining inflation pressures are still concentrated in prices relatively insensitive to the business cycle—related to tariffs, Middle East trade disruptions, and cost pressures in insurance, healthcare, electricity, or areas affected by rapid AI investment.

This "acyclical" inflation—which is less responsive to interest rate hikes than demand-driven inflation—also cooled meaningfully in June, however, rising at only a 1.45% annualized monthly pace, within its pre-pandemic range and with scope for further moderation. Tariff effects appear to be largely fading, while oil prices have retreated from their peak and could substantially decline further once Middle East tensions ease. Unit labor costs growth has slowed, suggesting downside pressures on prices as wage contracts and other upward price rigidities eventually reset lower to better reflect economic conditions. Personal consumption expenditures (PCE) inflation, the Fed's current inflation target, is less cyclical than CPI inflation but likely to gradually ease further as well.

Against a backdrop of surging profits, Equity benchmarks have broadly reached fresh highs, credit spreads have remained narrow, and market volatility has stayed low consistent with limited systemic risks. AI-related investment, government investment incentives, high productivity, restrained labor costs, and resilient consumer spending growth have created an exceptionally strong corporate earnings environment. U.S. oil producers have also benefited from unexpectedly high prices this year.

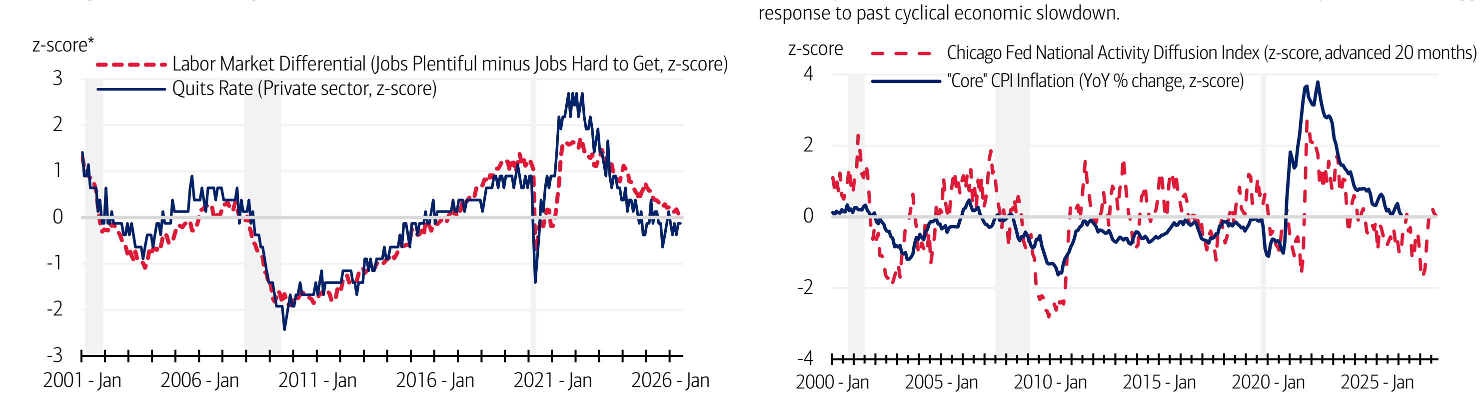
The consensus estimate for 2026 hyperscalers' AI-related capex has surged to around $800 billion, roughly 50% above late 2025 projections. With one company's capital expenditures (capex) another company's revenues, moderate labor growth, and operating leverage, the investment splurge has quickly helped engender a broadening profits bonanza. As a result, S&P 500 earnings per share (EPS) substantially exceeded expectations with 28.9% and 50.7% YoY gains in Q1 and Q2, respectively. Excluding mark-to-market gains on Equity stakes, EPS were still strong at 9.5% and 25.7%, respectively. The sharp upside revisions to 2026 earnings estimates to about $340 alongside expectations for continued economic expansion have lifted analysts' 2027 consensus EPS estimate to approximately $408, pointing to further market upside potential.

All in all, YoY PCE inflation remains too high for the Fed to declare victory. However, recent growth and inflation data have lowered the odds of a Fed rate hike to roughly 31% according to the CME Fedwatch. All told, the risk-asset outlook remains constructive.

Exhibit 1: Reduced Labor Demand and Slowing Inflation Are Key to Solving the Fed's Data Conundrum.

A) Dimming prospects of finding work depress consumer confidence.

B) More cyclical than "core" PCE inflation, "core" CPI inflation has already normalized in lagged response to past cyclical economic slowdown.



*z-score=number of standard deviations from the mean of a data set. Exhibit 1A) Sources: Bureau of Labor Statistics, The Conference Board/Haver Analytics. Data as of August 12, 2026. Exhibit 1B) Sources: Chicago Fed, Bureau of Labor Statistics/Haver Analytics. Data as of August 12, 2026. Please refer to index definitions at the end of this report.

MARKET VIEW

Sounding the Arsenal Alarm

Lauren Sanfilippo, *Director and Senior Investment Strategist*

Following U.S. involvement in a string of global conflicts, just how depleted the nation's munitions stockpiles have become is now an open question. From the almost six-month U.S./Israeli conflict with Iran to the grinding Russia/Ukraine campaign now in its fifth year, diminished inventories have turned replenishment into a national security imperative. This has prompted the Trump Administration to invoke the Defense Production Act and push the industrial base to "drive significantly faster, more aggressive delivery schedules and/or increased production for critical capabilities." What's been an arsenal alarm for the nation's stockpiles has led to a backlog boom for defense contractors.

Since returning to office, President Trump has authorized more than 620 military strikes around the globe. These operations have extended beyond the Middle East to Africa and the Western Hemisphere, including operations in Somalia, Nigeria and Venezuela. As strikes surged in March amid escalating conflict with Iran, sophisticated and hard to replace weapons were fired faster than the industrial base could replenish them. Nowhere is that strain more acute than in air defense interceptors.

According to the Center for Strategic and International Studies, the U.S. may have expended roughly two-thirds of its Patriot interceptors, leaving as few as 759, while Terminal High Altitude Area Defense (THAAD) inventories have shrunk by more than a third (Exhibit 2A). The Pentagon has moved to triple Patriot and quadruple THAAD output as it rebuilds an "Arsenal of Freedom" while also requesting tens of billions in emergency replenishment funding. The administration's munitions request of $76 billion in the FY 2027 defense budget plus $21 billion in supplemental war funds reflects this urgency.

Globally, the spending backdrop is equally striking: global military expenditure has never been higher, reaching a record high of $2.89 trillion last year. That's an 11th consecutive year of increased global defense spending, according to the Stockholm International Peace Research Institute (SIPRI). Despite the uptrend in spending, defense spending only amounts to 2.5% of world gross domestic product (GDP). That compares to a higher annual average of 3.4% stretching from 1960 to 2025. Even the world's biggest spender the U.S., after mandatory and discretionary spending on healthcare, social security, education and much more, the Pentagon apportions a mere 3.1% of GDP, well below a historical average north of 5% (Exhibit 2B). Historically it hasn't always been this way, as the U.S. committed nearly 17% of its economy to defense in 1952 during the Korean War and climbed back toward 8% during the Vietnam War.

Investment Implications

Valuations remain an important consideration as aerospace and defense stocks trade at a premium. With a global rearmament cycle, defense modernization, and rising investment in drones, cyber, autonomy, and space potential investment opportunities span across both public and private markets.

Exhibit 2: Taking Stock of Interceptors and Military Spending.

A) Interceptor Inventories since the Iran War.

B) Military Spending as a Share of World GDP (%).

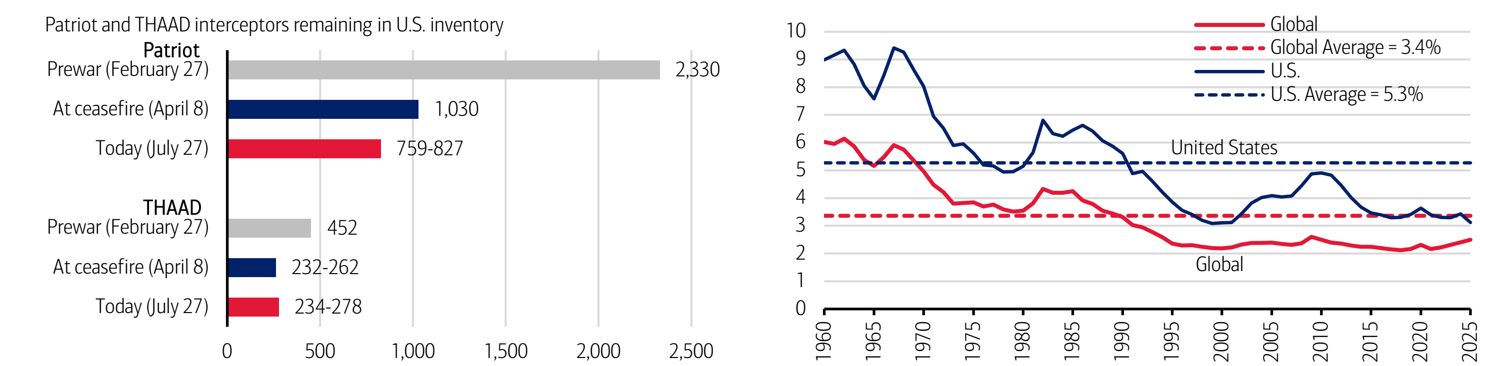


Exhibit 2A) Note: Estimated inventories today account for additional interceptor use and new deliveries since the April 8 ceasefire. THAAD deliveries during the ceasefire outpaced estimated use over the same period, resulting in higher inventories today than in April. Patriot calculations include the latest Missile Segment Enhancement variant and Patriot Advanced Capability (PAC)-3s. Several hundred PAC-2s, not represented in the chart, are estimated to remain in the U.S. inventory. Source: Center for Strategic and International Studies. Data as of July 27, 2026. Exhibit 2B) Source: SIPRI. Data through 2025, as of August 2026.

The Aerospace of it All. The structural spending story coincides with a commercial aviation recovery that has pushed the global aircraft backlog to a record 17,000 aircraft. At the same time, aging U.S. defense and commercial aviation fleets are compounding supply chain pressures and ratcheting up maintenance costs (older, less efficient aircraft are more expensive to keep in service). Fleet modernization from avionics to composite materials is adding another layer of demand to the global arms race already underway.

Arsenal Alarm, Backlog Boom. The beneficiaries of it all, as told in Q2 earnings reports, are some of the largest U.S. defense primes that have reported record order backlogs, paving the way for years of revenue and underscoring the scale of the global rearmament cycle. See Exhibit 3A for a breakdown of the $850 billion in backlogs. With funding less of a constraint, production capacity and lead times are key pressure points. In many cases, replenishing depleted inventories will take years, not months or weeks. The replenishment math is daunting: Patriot interceptor replenishment may require at least two to three years from contract signing, to build, to delivery. Given these lengthy lead times, inventories of THAAD interceptors and Tomahawk cruise missiles may not return to prewar levels until late into this decade.

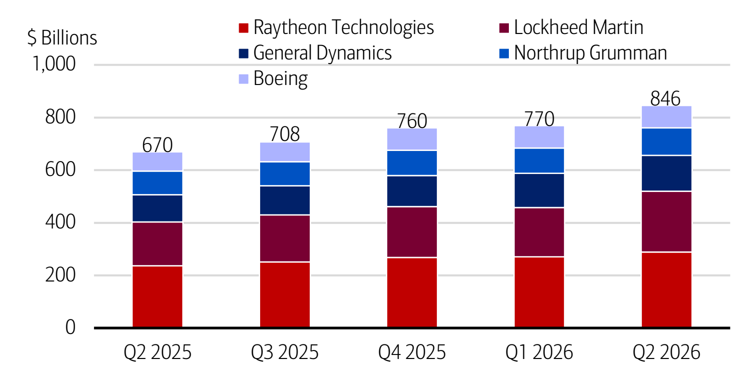
As another constraint, decades of post-Cold War consolidation have left the industrial base dependent on a smaller number of suppliers for critical components while also shrinking the pool of skilled laborers needed to scale production rapidly. For example, the U.S. defense industrial base had 51 prime contractors in the early 1990s, but just five today. In some cases the Pentagon is relying on a new generation of "second source" suppliers, leveraging commercial technologies and manufacturing practices to accelerate modernization.

The shift extends beyond conventional weapons systems and into drone warfare, as seen in the Russia/Ukraine war. Ukraine's drone losses averaged 670,000 per month according to North Atlantic Treaty Organization data from May. The U.S. military has lost a quarter (45 total) of its Reaper drone fleet, costing up to $50 million each. Such a pace of attrition underscores the enormous production requirements modern drone warfare demands.

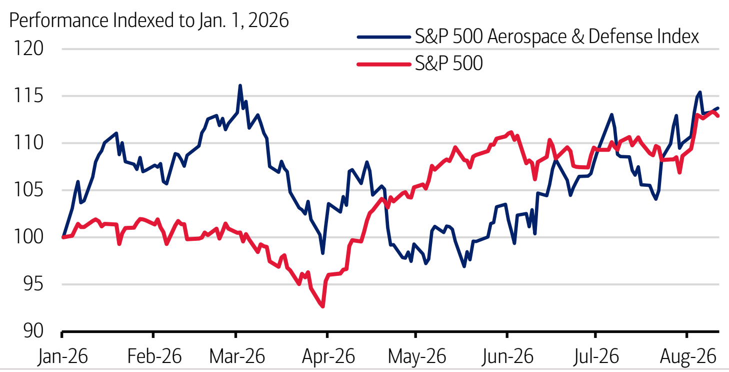
And so, global defense is in an upcycle, driven by rising geopolitical tensions, rearmament efforts and growing investment in next-generation military technologies. Given the year-to-date attention on various geopolitical hotspots, the defense sector initially outperformed the broader market amid escalating conflict in the Middle East, subsequently has given back some outperformance (Exhibit 3B). More encouraging has been consensus EPS estimates for the major U.S. defense names that have been revised upward since the start to the Iran conflict, a notable divergence from the negative stock price performance seen over the same period. Even so, larger defense budgets, ambitious procurement plans, and increasing demand for advanced weapons systems continue to support the sector's underlying fundamentals and a key long-term theme for us.

Exhibit 3: Order Books and Defense YTD Performance.

A) U.S. Defense Primes Order Books at a Record in Q2.



B) For the Rebuild: Tracking Defense versus the S&P 500.



FOR INFORMATIONAL PURPOSES ONLY. Any reference to a specific company or security does not constitute a recommendation to buy, sell, hold or directly invest in the company or its securities. Exhibit 3A) Boeing includes defense, space and security backlog. Source: Bloomberg estimates. Data as of July 2026 reporting. Exhibit 3B) Source: Bloomberg. Data as of August 12, 2026. Indexes referenced: S&P 500 and S&P 500 Aerospace & Defense Industry GICS Level 3 Index. Short-term performance shown to illustrate more recent trend. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

What, in Our View, is the Largest Risk in the Markets Right Now?

Christopher Hyzy, Chief Investment Officer

There are multiple risks that have been gray clouds overhanging the markets throughout 2026. The risks range from tariff adjustments and geopolitical tensions and escalations to Private Credit worries, higher oil prices, elevated inflation, AI return on investment concerns and rising longer-dated bond yields. The risks and worries have so far been outweighed by a resilient consumer, strong capital investment and corporate earnings growth that is averaging about double or the growth rate originally expected by the consensus.

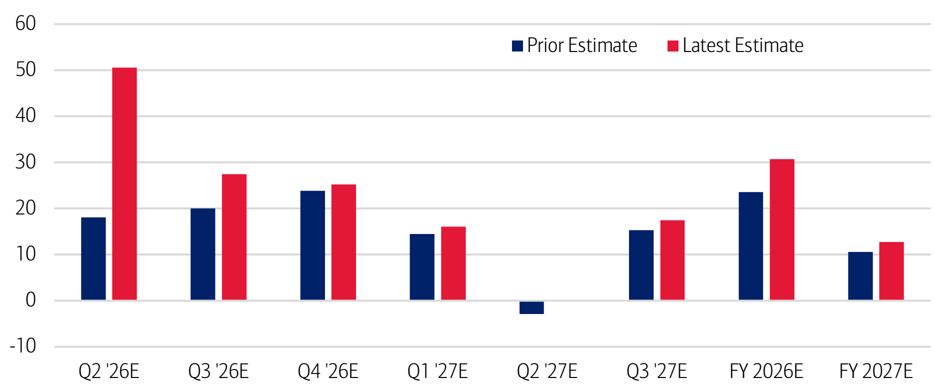
Where does that leave the largest risk for the remainder of this year, in your view? We believe rising bond yields that become unanchored represent the largest risk. We don't expect this to unfold for a variety of reasons which range from balanced demand for Treasurys and stable break-even inflation to attractive corporate fundamentals and still healthy balance sheets. In addition, the U.S. still holds the highest sovereign yields in the developed world which helps keep non-U.S. demand healthy while the U.S. dollar remains stable. In summary, the combination of high leverage and sharply rising yields is a tonic that can have a significantly negative impact on economic growth, corporate profits, and eventually portfolio returns. We watch this closely. Currently, this combination is a tail risk that is low, in our opinion, and not something that has a high probability of unfolding anytime soon—especially since we believe we are still close to mid-cycle in the broader economy and the chief engine—the AI buildout.

Investment Implications

The capital investment cycle is still early, while the economic cycle appears to be closer to mid. Therefore, although we expect the earnings growth rate to slow down, we still believe the "receivers of capital investment" will grow at a very attractive rate in the foreseeable future.

Exhibit 4: The Biggest Risk and Potential Opportunity.

A) S&P 500 Earnings Year-over-Year Growth (%).



B) U.S. 10-year yield climbing steadily since 2020 but below prior peak levels.

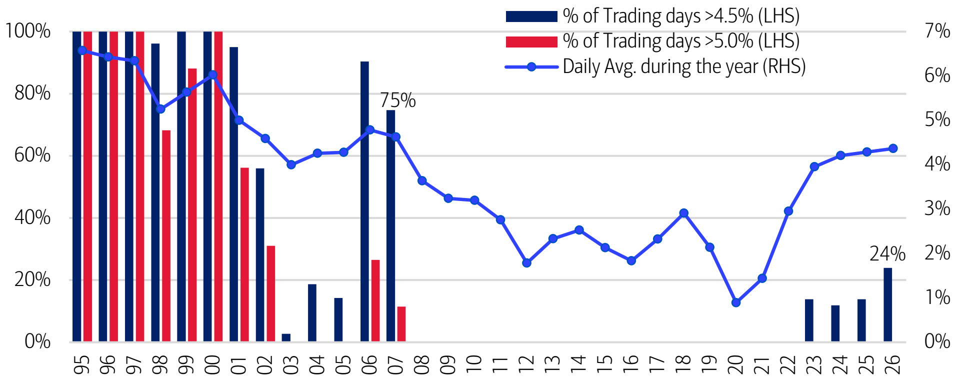


Exhibit 4A) Source: FactSet. Data as of August 12, 2026. A = Actual, E = Estimate. Q2'27E red bar is -0.02%. Exhibit 4B) Source: Bloomberg. Data as of August 12, 2026. Years without any columns represent 0%. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
Equities	Current	WTD	MTD	YTD
DJIA	53,732.41	-0.5	2.4	12.8
NASDAQ	26,729.16	0.2	5.4	15.4
S&P 500	7,785.76	0.4	4.0	14.5
S&P 400 Mid Cap	3,926.98	1.1	4.5	19.7
Russell 2000	3,068.42	1.1	4.7	24.5
MSCI World	5,029.48	0.5	3.8	14.4
MSCI EAFE	3,262.58	0.6	2.8	14.8
MSCI Emerging Markets	1,701.17	2.7	2.2	22.7

Fixed Income†

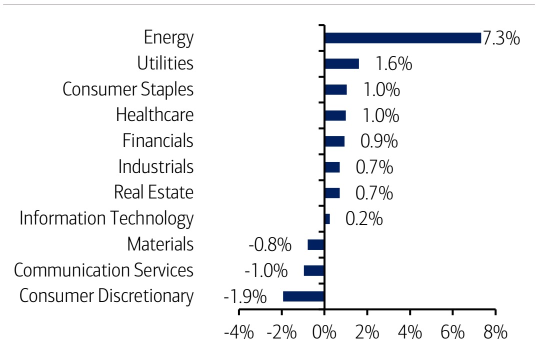
	Total Return in USD (%)			
Fixed Income	Current	WTD	MTD	YTD
Corporate & Government	4.83	-0.15	0.38	-0.42
Agencies	4.52	0.04	0.39	0.64
Municipals	3.81	0.12	0.80	1.23
U.S. Investment-Grade Credit	4.92	-0.14	0.46	-0.24
International	5.42	-0.29	0.37	-0.47
High Yield	7.20	0.15	0.87	2.59
90 Day Yield	3.78	3.79	3.75	3.63
2 Year Yield	4.17	4.20	4.29	3.47
10 Year Yield	4.69	4.65	4.73	4.17
30 Year Yield	5.26	5.20	5.27	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	348.80	2.8	2.7	26.3
WTI Crude $/Barrel††	82.40	5.4	-2.7	43.5
Gold Spot $/Ounce††	4376.4	0.8	8.2	1.3

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.16	1.16	1.15	1.17
USD/JPY	159.32	157.76	157.40	156.71
USD/CNH	6.74	6.74	6.75	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 08/10/2026 to 08/14/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 08/14/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 8/14/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.4
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.5	2.4	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.2	2.9	3.2	2.0
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.5	2.5	2.5
Unemployment rate (%)	4.3	4.3	4.2	4.2	4.2	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of August 14, 2026.
Sources: BofA Global Research; GWIM ISC as of August 14, 2026.

Asset Class Weightings (as of 8/4/2026)

	CIO View				
Asset Class	Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

	CIO View				
Sector	Underweight		Neutral	Overweight	
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of August 7, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Chicago Fed National Activity Diffusion Index is a monthly index designed to gauge overall economic activity and related inflationary pressure.

S&P 500 Aerospace & Defense GICS Level Index comprises stocks from the S&P Total Market Index that are classified in the GICS Aerospace & Defense sub-industry.

Consumer Price Index is an economic tool that tracks the average change over time in the prices paid by urban consumers for a market basket of consumer goods and services.

Institute for Supply Management Manufacturing Index is a composite measure equally weighing new orders, production, employment, supplier deliveries, and inventories.

Institute for Supply Management Services Index measures the economic health of the U.S. service sector, which accounts for the vast majority of the nation's economic activity.

Employment Index measures the change in the hourly labor cost to employers over time.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

August 10, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Waiting for the Fed's New Reaction Function:* Federal Reserve (Fed) Chair Kevin Warsh received a lot of criticism after his post-Federal Open Market Committee meeting press conference on July 29. Reporters seemed to think his answers to their questions were contradictory. In particular, they couldn't reconcile his hawkish focus on inflation with his dovish refusal to advocate for a rate increase. In our view, this apparent contradiction is easily resolved by understanding the change Mr. Warsh is likely to implement to the Fed's framework for controlling inflation. Unfortunately, he's unable to divulge that change at this time because it awaits the input of the task forces he has appointed and the buy-in of his colleagues on the Board. In the meantime, the pundits judging him based on the Fed's previous paradigm are likely to remain confused by his hawkish rhetoric and reluctance to raise rates.

This uncertainty over the new reaction function is likely to keep rate markets guessing about monetary policy until it's resolved later in the year. In the meantime, the strong U.S. economy and broadening global growth are generating double-digit earnings increases, propelling global equity markets to new record levels.

Market View—*Market Snippets: The Yen, U.S. Equity Culture and Hyperscalers' Finances:* We examine three market-moving variables: the latest Yen intervention, America's exceptional Equity culture and the ravenous financing needs of Big Technology. First, while the joint U.S./Japan intervention has put a floor under the yen, a more sustained recovery in the currency will ultimately require a more fundamental shift in macroeconomic policy, including higher interest rates in Japan. Government support for the yen hasn't changed the mathematical reality of yields. Second, when it comes to Equity ownership, no one does it like the U.S. The steady flow of household capital helps finance American ingenuity, risk-taking, innovation and future growth—while also lending to the possibility that a bear market on Wall Street can morph into an economic slowdown on Main Street. Third, while it's clear from Q2 earnings season that the Artificial Intelligence (AI) capital expenditures (capex) cycle is intact, hyperscalers' free cash flow is no longer keeping pace with spending estimates, with the companies' reliance on the debt and equity markets expected to increase from here.

Thought of the Week—*A Constructive Reset:* Despite a volatile summer marked by weakness in AI-related leaders, geopolitical uncertainty and shifting Fed expectations, the broader market remained relatively resilient. Beneath the surface, participation has improved as more stocks joined the advance, even while many individual stocks remained below prior highs. The combination of stronger market breadth and a return to record highs suggests the recent market reset may have strengthened the market's foundation rather than weakened it.

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Portfolio Considerations

We view recent volatility as a rolling correction rather than the end of the cycle. We favor diversified Equity exposure, with potential opportunities extending beyond Growth to Value, Small- and Mid-caps, Non-U.S. Equities (especially Emerging Markets), dividend-focused and thematic strategies.

We favor adjusting portfolios toward strategic durations given attractive elevated nominal and real yields, and see value in high-quality bonds, particularly longer dated municipal bonds.

Consider broader portfolio diversification with potential opportunities across industrial metals, energy, Real/Tangible Assets, Hedge Funds, private markets, and global strategies to capture themes from AI, reindustrialization, infrastructure growth, and market dispersion.

Waiting for the Fed's New Reaction Function

Chief Investment Office, *CIO Macro Strategy Team*

Since the first central banks were created in Sweden and England over 300 years ago, economists and bankers have debated the best way to conduct monetary policy. Generally speaking, the debate has been centered around methods that bankers prefer to smooth their lending business and methods that macroeconomics dictate to control inflation. That's because banks' lending business creates money, and too much money creates inflation, as the Fed recently learned again after the pandemic policy surge in the money supply. The money market rate controlled by central banks is also known in some contexts as the bank rate because it's the key interest-rate metric for the banking business, and controlling it in a steady, responsible way has been the accepted method of central banks through the ages. With the advent of fiat money, which is money that's unbacked by a real asset such as gold, inflation control has become a more important priority for central banks. For example, in the 1800s, a debate between what was known as the Currency School versus the Banking School over the appropriate central bank policy reflected these different priorities between smoothing interest rates for banks versus controlling the money supply to limit inflation.

Investment Implications

A more pro-growth monetary policy is likely to favor assets that benefit from strong profit growth over more defensive assets that benefit from a sluggish economy with rising credit risks.

These debates have resurfaced periodically over time. In the 1970s, the monetarist resurgence to stop the double-digit inflation of the times caused the Fed to implement targets for money supply growth that were eventually dropped once money supply growth stabilized and began to subside, bringing inflation down. In the early 1980s, this stricter money supply control resulted in much more volatility in money market rates, which eventually caused the Fed to return to interest rates as its primary tool for conducting policy. Since then, the Fed has ignored the money supply, raising rates to slow inflation and cutting rates to stimulate a weak economy when inflation is low.

Today's financial media understands policy through this simple lens of using interest rates to control inflation. The new task forces on inflation and the balance sheet are likely to focus more attention on the role the money supply plays in creating inflation. Rather than just raising rates to reduce inflation, the new Fed operational framework will likely incorporate methods that help control money more directly than simply changing interest rates. The new approach to controlling inflation could, in other words, not require knee-jerk interest rate hikes to address a strong growing economy as in the past. Seen in this light, the new Fed Chair's reluctance to raise rates is not inconsistent with a tough stance on inflation.

Does reaction function uncertainty reduce Fed credibility? Some pundits asserted that this hesitation to raise rates reduces the Fed's credibility for achieving its inflation mandate. For example, after the news conference on July 29, long-term interest rates broke out to the highest level in about two decades. Many assumed the higher rates reflected worries about Mr. Warsh's commitment to addressing inflation. A look at market-based indicators of inflation, however, suggests otherwise. Over the past year, nominal interest rates on Treasury securities with 10- and 30-year maturities have risen, but real yields on Treasury Inflation-Protected Securities on the same maturities have risen a bit more. In short, the inflation component of the nominal yield has not risen over the past year. The dominant movement in long-term yields reflects a rise in real rates, not a rise in inflation worries.

After the 2008/2009 Great Financial Crisis (GFC), private sector credit demand collapsed as households and many businesses deleveraged and worked to clean up their balance sheets. The government helped this process with quantitative easing and zero-interest rate policies that caused government borrowing to soar. The post-pandemic period has seen interest rates normalize to pre-GFC levels. The AI boom to finance data centers has created a surge in private sector demand for long-maturity financing which, coupled with big government deficits, has naturally raised the pressure on long-term interest rates. So far, that pressure seems confined to real interest rates with little evidence the boom in AI demand and associated tech price increases have impacted long-term inflation expectations, which remain consistent with a well-anchored outlook.

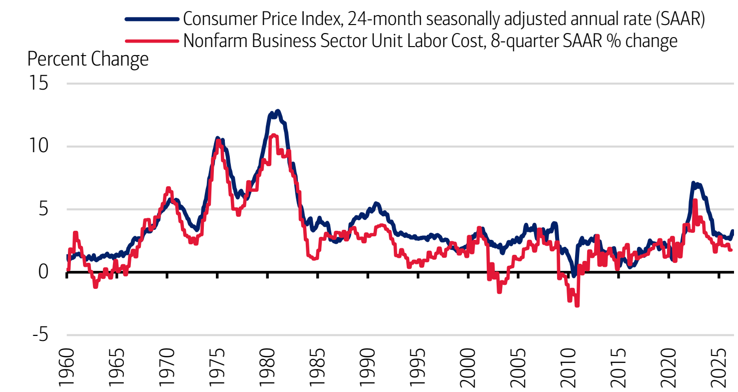
Despite well-anchored inflation expectations, isn't strong growth raising the risk of higher inflation? Energy price volatility and booming semiconductor prices have raised concerns that inflation risks have shifted to the upside. Perhaps inflation expectations are too complacent. Yet, fundamental forces still point to strong disinflation pressures despite all the focus on particular price increases. The broadest macro force for inflation normally can be seen in the labor market. For example, as seen in Exhibit 1A, unit labor costs, which adjust wage increases for productivity increases to look at inflation pressure from the labor market, are consistent with 2% inflation despite the flare-up in inflation from recent one-off factors.

In addition, shelter costs are the single biggest component of consumer prices, accounting for about a third of the index. As seen in Exhibit 1B, since inflation and shelter costs peaked after the pandemic-related housing boom, shelter costs have been declining toward pre-pandemic levels. The rise in home prices and mortgage rates has made housing affordability a much bigger barrier for buyers. The likelihood that mortgage rates have "normalized" at a much higher level since the zero-rate era has ended implies the main route to increased affordability is lower house prices or, at least, muted increases. In addition to housing price disinflation, rent disinflation is also helping to bring down shelter costs. Apartment building surged with the pickup in immigration. The sharp slowdown in immigration has left a glut and put downward pressure on rents. Bottom line: Housing fundamentals point to further disinflation in the biggest component of the consumer price index.

All told, rate increases at the long end of the yield curve are consistent with increased credit demand to finance more long-term investments. The rise has occurred in real rates while the inflation component has remained steady, consistent with well-anchored inflation expectations close to the Fed's target. There is little evidence to suggest the new Fed Chairman has changed these relationships despite media analysis to the contrary. Finally, key fundamental factors behind inflation trends, including wage growth, productivity and shelter costs, remain in disinflation trends that suggest the recent pickup in inflation from various supply shocks is noise rather than signal. This suggests the Fed can remain patient rather than rushing to raise rates anytime soon. Tightening policy to restrain growth would seem to be a mistake under these circumstances.

Exhibit 1: Labor Costs and Housing Dynamics Point to Disinflation Ahead.

A) Labor costs point to lower inflation ahead.



B) Housing disinflation points to lower inflation.

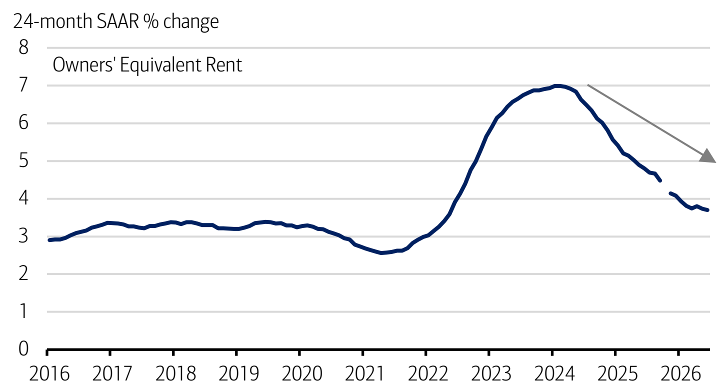


Exhibit 1A) Sources: Bureau of Labor Statistics; Haver Analytics. Data as of July 30, 2026. Exhibit 1B) Sources: Bureau of Labor Statistics; Haver Analytics. Data as of July 14, 2026. Please refer to index definitions at the end of this report.

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MARKET VIEW

Market Snippets: The Yen, U.S. Equity Culture and Hyperscalers' Finances

Joseph P. Quinlan, ***Managing Director and Head of Market Strategy***
Ariana Chiu, ***Assistant Vice President and Investment Strategist***

This week, we briefly examine three market-moving variables: yen intervention, America's exceptional Equity culture and the ravenous financing needs of Big Technology.

Keeping the sun from setting on the yen. It's been quite a while—decades, in fact—since the U.S. and Japan have jointly intervened to support the yen, but in late July, authorities did just that after the currency hit a 40-year low of 163 per dollar.

The reasons for the intervention were manifold but, notably, the move was designed to mitigate the risks to the U.S. Treasury market by preventing Japan from selling massive amounts of U.S. Treasurys. As the world's largest holder of U.S. debt (Exhibit 2A), Japan would typically have to sell Treasurys to defend the yen, with sizable selling having the potential to cause a spike in U.S. bond yields and increased U.S. borrowing costs. To avoid such a scenario, enter the U.S. Treasury, which sold euros, not dollars, in defense of the yen—and U.S. Treasurys. Protecting U.S. export competitiveness, providing regional currency stability, and U.S./Japan diplomatic considerations also played a role in the most recent move to support the yen.

Near-term, while joint intervention has put a floor under the yen, the future path of the yen is dependent on the trajectory of Japan bond yields and monetary expectations in Washington and Tokyo. As Exhibit 2B highlights, the yield gap on U.S. and Japan 2-year government bonds has widened significantly this year, undermining demand for the yen relative to the dollar. On balance, joint intervention has staved off the currency speculators for now; however, government support of the yen has not changed the mathematical reality of yields. A sustained recovery in the yen requires a more fundamental shift in macroeconomic policy, i.e., higher interest rates in Japan, along with lower oil prices and measures to stem the deterioration in fiscal health. Japan's gross public debt-to-gross domestic product ratio is roughly 204%, among the highest ratios in the world. The risk is that absent fundamental changes, market forces will eventually overpower the billions spent on intervention. Stay tuned.

Born to own: America's Equity culture is exceptional. Stock markets exist all over the world, but nowhere are equities more embedded in the DNA of a nation than the U.S. Through 401(k)s, Individual Retirement Accounts, pensions, mutual funds, brokerage accounts, employee stock plans, college savings plans and now Trump accounts, tens of millions of U.S. households are directly or indirectly tied to Wall Street. These factors create a durable demand base for U.S. stocks by converting household savings into corporate capital.

Sure, corporate earnings, valuations and interest rates are the primary determinants of asset prices. But so too is America's Equity culture—with a steady flow of household capital helping to finance American ingenuity, risk-taking, innovation and future growth. Markets with deeper Equity cultures tend to enjoy higher levels of liquidity, better corporate governance, greater amounts of risk capital, stronger entrepreneurship, more efficient capital allocation and a larger venture capital ecosystem. As Exhibit 2C underscores, when it comes to equity ownership, there's the U.S. and then the rest of the world. According to the latest data from the Organisation for Economic Co-operation and Development, direct Equity holdings make up 45% of U.S. household financial assets, well ahead of other countries like South Korea (27%), Spain (23%), Japan (16%) and France (10%).

In contrast to America's shareholder society, continental Europe and Japan have traditionally relied on bank financing to allocate capital. In these regions, households have typically held more wealth in bank deposits, government bonds, insurance products and real estate. Meanwhile, China's system is heavily influenced by state-controlled banks, while the primary asset of many Chinese households has traditionally been real estate—a bad bet over the past decade. In many emerging markets, family-controlled conglomerates dominate the capital markets, while households favor property, bank deposits or hard assets like gold.

The downside to America's robust Equity culture is that a bear market on Wall Street can morph into an economic slowdown on Main Street. Bull markets equate to positive wealth effects and more consumer spending, while bear markets have the opposite effect—more

Investment Implications

Interest rate differentials will ultimately drive the path of the yen. Meanwhile, our overweight to U.S. Equities in portfolios remains supported by durable household participation. We continue to like recipients of capital in the AI race with select potential opportunities across infrastructure, power, robotics, biotechnology and cybersecurity.

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fear, and less wealth and spending. In addition, despite America's exceptional Equity culture, with mass participation, Equity ownership in the U.S. is highly concentrated, with the top 1% of U.S. households owning nearly 50% of U.S. Equities. Hence, the making of America's K-shaped economy.

Cash is no longer king for hyperscalers. The AI capex cycle remains intact—that's one key lesson of Q2 earnings season, with five hyperscalers reaffirming or upgrading their capex estimates for the year. This cohort is on track to spend nearly $800 billion on capex in 2026 followed by over $1 trillion in spend in 2027, according to consensus estimates. Importantly, hyperscalers' free cash flow, once the primary source of funds for higher capex, is no longer keeping pace with spending estimates and is currently expected to enter slight negative territory this year (Exhibit 2D). Companies previously rich in free cash flow are increasingly reliant on the debt and equity markets to raise capital. Already in 2026, hyperscalers have raised over $300 billion in debt. We'd expect debt funding to increase through year-end and into 2027.

The good news for now is that capex appears increasingly supported by strong revenue growth among major cloud providers and by multi-year customer commitments to purchase compute. On the capacity side, the supply-demand equation is favorable not just in compute but for the physical equipment required to construct data centers. Several risks still bear watching, however, including the level of hyperscalers' off-balance sheet debt, the ability of frontier AI labs to meet contracted commitments, efficiency gains and/or competition that weigh on compute prices, and the impact of long grid interconnection queues on data center construction. Also important to watch will be the path of Treasury yields as hyperscalers rely on the debt markets to raise long-term capital.

For investors, we continue to believe that we're in the early stages of this capital investment cycle. Potential opportunities in infrastructure and power generation should continue to benefit from investment and backlogs. Thematic areas of application like robotics, biotech and cybersecurity remain attractive in our view, as does exposure to basic materials and industrial metals required for the AI buildout.

Exhibit 2: On the Watchlist: Fundamentals in Japan, Household Equity Exposure, and Hyperscaler Balance Sheets.

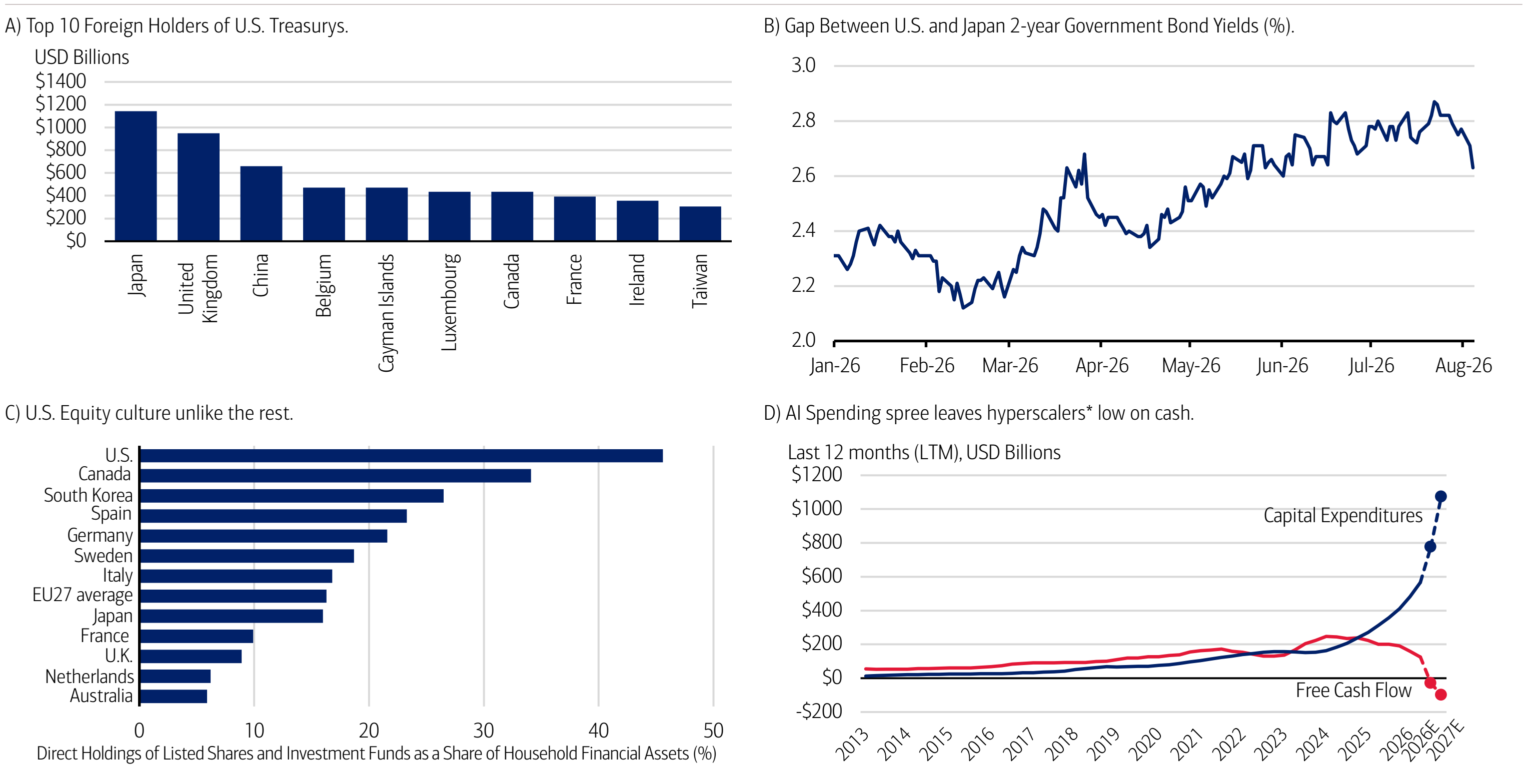

Exhibit 2A) Source: U.S. Treasury. Data as of August 4, 2026. Exhibit 2B) Source: FactSet. Data as of August 6, 2026. Exhibit 2C) Sources: Financial Times; Organisation for Economic Co-operation and Development; Eurostat; Bank of Japan; and Bank of Korea. Data refers to 2025, as of July 26, 2026. E=estimate. Exhibit 2D) *Amazon, Alphabet, Meta, Microsoft, Oracle. Data includes reported figures through Q2 2026 and full-year 2026 and 2027 Bloomberg consensus estimates in dotted lines. Source: Bloomberg. Data as of August 4, 2026. **Past performance is no guarantee of future results.**

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THOUGHT OF THE WEEK

A Constructive Reset

Kirsten Cabacungan, ***Vice President and Senior Investment Strategist***

It has been a volatile summer for stocks. The AI trade came under pressure as investors reassessed the sustainability of massive AI-related spending, while renewed geopolitical tensions and uncertainty surrounding the Fed added to market volatility. Yet despite those challenges, the S&P 500 proved remarkably resilient, finishing July down just 0.1% and remaining largely rangebound since late May, with a maximum drawdown of only 5% (Exhibit 3A). The modest move in the headline index, however, masks a more important story beneath the surface.

While several of the market's former leaders corrected sharply, equity market internals have not broadly deteriorated. The AI-driven rally that carried U.S. Equities higher through the spring became increasingly concentrated, culminating in a sharp rally among AI beneficiaries, particularly in semiconductors, with the Philadelphia Semiconductor Index (SOX) gaining more than 100% between late March and its mid June peak. But as that momentum trade unwound and semiconductors entered a bear market, participation across the broader market quietly improved. The percentage of S&P 500 constituents trading above their 200-day moving average rose from 56% at the start of June to 74% in early August, the highest level in nearly two years (Exhibit 3B). The equal-weighted S&P 500 also recorded 14 new all-time highs since June, while the market-cap-weighted index spent two months below its prior peak.

Importantly, the broadening story is still in its early stages. While the S&P 500 has returned to a record high, the average stock is still recovering. The median constituent remains roughly 11% below its 52-week high, a meaningful improvement from the 22% median level seen at the market's March low but still far from the broad-based exuberance often associated with market peaks. Perhaps the most encouraging aspect of the market's return to all-time highs is that the foundation of the rally appears stronger today than it did at the prior peak, as some of the froth has come off and market breadth has improved.

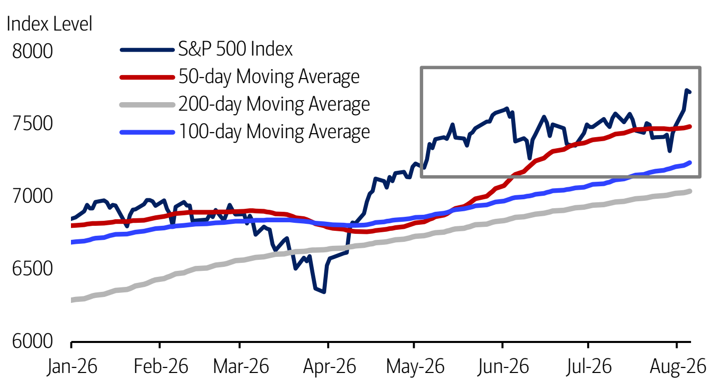
Viewed through that lens, this summer's stagnation appears less like the end of the bull market and more like the reset that may extend it. If earnings growth continues to expand and economic fundamentals remain supportive, there may still be room for more stocks to join the advance. We continue to emphasize diversification in this environment and would view periods of weakness as potential opportunities to rebalance portfolios, particularly toward areas of the market where participation and earnings growth are continuing to broaden beyond traditional Growth leadership.

Investment Implications

We view recent volatility as part of a rolling correction rather than the end of the cycle. Improving market breadth and broadening earnings growth reinforce the importance of maintaining diversified exposure across sectors, styles, and size and geographies.

Exhibit 3: A Stronger Foundation is Forming Beneath the Surface.

A) The S&P 500 remained rangebound despite summer volatility.



B) Market breadth improved during the summer reset.

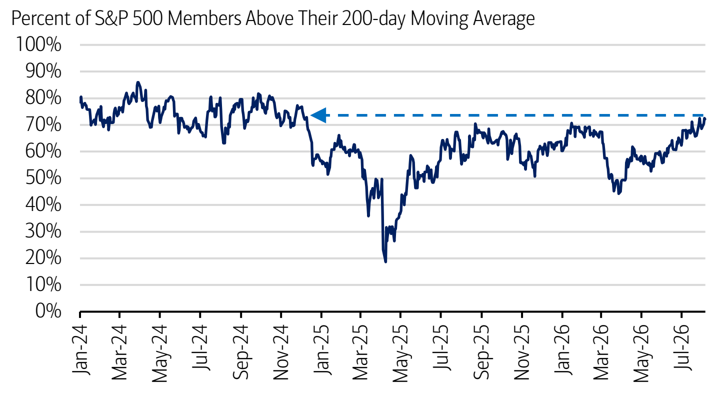


Exhibit 3A) Source: Bloomberg. Data as of August 5, 2026. Exhibit 3B) Source: Bloomberg. Data as of August 5, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
Equities	Current	WTD	MTD	YTD
DJIA	54,036.93	3.0	3.0	13.4
NASDAQ	26,690.62	5.2	5.2	15.2
S&P 500	7,757.64	3.6	3.6	14.1
S&P 400 Mid Cap	3,885.57	3.4	3.4	18.4
Russell 2000	3,034.49	3.5	3.5	23.1
MSCI World	5,007.84	3.3	3.3	13.9
MSCI EAFE	3,246.08	2.3	2.3	14.1
MSCI Emerging Markets	1,657.82	-0.4	-0.4	19.5

Fixed Income†

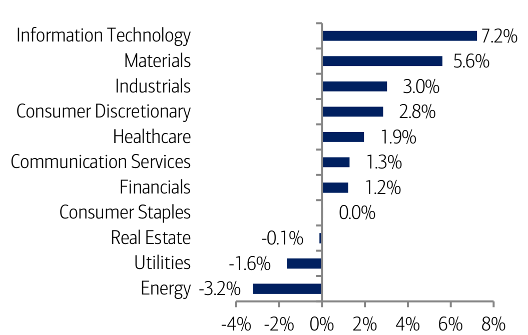
	Total Return in USD (%)			
Fixed Income	Current	WTD	MTD	YTD
Corporate & Government	4.81	0.54	0.54	-0.27
Agencies	4.52	0.35	0.35	0.60
Municipals	3.83	0.68	0.68	1.11
U.S. Investment-Grade Credit	4.90	0.60	0.60	-0.09
International	5.38	0.66	0.66	-0.18
High Yield	7.18	0.73	0.73	2.44
90 Day Yield	3.79	3.75	3.75	3.63
2 Year Yield	4.20	4.29	4.29	3.47
10 Year Yield	4.65	4.73	4.73	4.17
30 Year Yield	5.20	5.27	5.27	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	339.14	-0.2	-0.2	22.8
WTI Crude $/Barrel††	78.18	-7.7	-7.7	36.2
Gold Spot $/Ounce††	4341.56	7.3	7.3	0.5

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.16	1.15	1.15	1.17
USD/JPY	157.76	157.40	157.40	156.71
USD/CNH	6.74	6.75	6.75	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 08/03/2026 to 08/07/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 08/07/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 8/7/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.5
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.5	2.4	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.2	2.9	3.2	2.0
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.5	2.5	2.5
Unemployment rate (%)	4.3	4.3	4.3	4.2	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of August 7, 2026.
Sources: BofA Global Research; GWIM ISC as of August 7, 2026.

Asset Class Weightings (as of 8/4/2026)

Asset Class	Underweight		CIO View Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies					
Private Equity					
Private Credit					
Real Assets					
Cash					

CIO Equity Sector Views

Sector	Underweight		CIO View Neutral	Overweight	
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of August 4, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Consumer Price Index is an official measure of the average change over time in prices paid by urban consumers for a market basket of everyday goods and services.

Philadelphia Semiconductor Index is a market-cap-weighted index focusing on 30 leading semiconductor firms, offering insights into the tech market.

S&P 500 Equal-Weighted Index is the equal-weight version of the widely-used S&P 500. The index includes the same constituents as the capitalization weighted S&P 500, but each company in the S&P 500 EWI is allocated a fixed weight - or 0.2% of the index total at each quarterly rebalance.

S&P 500 Market-cap-Weighted Index is a capitalization-weighted index ranks stocks based on market capitalization, giving larger companies more influence, such as the S&P 500.

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Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

August 3, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Still Waiting for Europe:* Two Years Post-Draghi Report: Nearly two years after the release of the landmark "Draghi report" in September 2024, the progress report isn't pretty. An estimated 15.7% of the report's recommendations have been implemented, up modestly from 11.2% a year ago. That's tough news for a continent battling to maintain economic influence. Indeed, while America's share of global output has remained resilient in the face of China's rise over the last two decades, Europe's share has not. Chief among the forces working against Europe in recent years has been so-called "China Shock 2.0": an ongoing onslaught of exports targeted at both low- and high-value goods. In part due to protectionism from the U.S., China's overflow of goods has increasingly been routed to Europe—so much so that China's trade surplus with the European Union (EU) has now surpassed its surplus with the U.S. Whereas America's manufacturing sector proved the primary victim of China Shock 1.0, Europe has emerged as the poster child of China Shock 2.0 with its manufacturing sector feeling the pain of low-cost competition in everything from electric vehicles to chemicals to pharmaceuticals. With China Shock 2.0 intensifying, energy vulnerabilities, lagging productivity, and limited Artificial Intelligence (AI) innovation, our preference for the U.S. over the old continent remains unchanged.

Market View—*No More Surprises—Six "Surprises" That Shouldn't Surprise Investors:* From unsettled geopolitics to fractured global supply chains to AI disruptions, investors have had to navigate various crosscurrents over the past few years. Yet amid the gloom, the dire predictions of the worrywarts have repeatedly failed to materialize, "surprising" market bears. This week we outline six so-called "surprises" that shouldn't surprise investors. One, the U.S. consumer refuses to quit, supported by immense purchasing power, rising home values, appreciating financial assets, solid wage gains and a dynamic labor market. Two, higher oil prices no longer break America thanks to a U.S. economy that's more energy-efficient and less dependent on foreign supplies. Three, the U.S. dollar remains king, backstopped by the world's largest government bond market, deepest capital markets, strongest property rights and broadest range of investable assets. Four, deficits matter, but America's financing advantages, asset base, innovation and resilience provide time and flexibility. Five, corporate America keeps exceeding expectations by adapting, automating, restructuring, repricing and relentlessly pursuing productivity gains. Six, America remains one of the most shock-resistant economies in the world, helping markets adjust, reset and grind higher over the long run. The broader lesson for investors: Many so-called "surprises" are not surprises at all.

The Ticker Tape—*Top Questions Answered Directly by Our Chief Investment Officer (CIO).*

- Is the semiconductor and broader AI buildout chain capital investment cycle rolling over, and have we experienced the top in the cycle?

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Portfolio Considerations

The "Era of Transformation" is being driven by innovation, capital investment, infrastructure needs and evolving themes that extend from short-term resilience and earnings growth to longer-term Rebalancing, Re-globalization, Reconstruction and Rearmament.

Persistent shortages across AI-related resources, infrastructure, minerals and defense equipment are expected to support productivity, profit margins, asset-price growth and attractive potential opportunities across global equity markets, despite periodic "bullwhip" market volatility.

We remain overweight U.S. and Emerging Market Equities—favoring Industrials, Financials and Consumer Discretionary—while maintaining balanced exposure between Growth and Value—and views higher Fixed Income yields as attractive for income, diversification and risk compensation.

Still Waiting for Europe: Two Years Post-Draghi Report

Arianna Chiu, ***Assistant Vice President and Investment Strategist***

"It's 'do this' or it's a slow agony." – Mario Draghi

So said the former European Central Bank president upon the release of his landmark "Draghi report" in September 2024. In the report, Draghi laid out over 380 recommendations for how Europe could reignite growth and avoid "slow agony" in the face of fracturing geopolitics, technological change and fierce competition from overseas.

Nearly two years later, the progress report isn't pretty. The latest analysis from the European Policy Innovation Council (EPIC) suggests that just 15.7% of Draghi's recommendations have been implemented as of July 2026, a rather modest improvement from 11.2% a year ago. Some progress has been born of necessity, such as phasing out natural gas imports from Russia or spending more on defense. The more difficult reforms—stronger single market integration, unified capital markets, large-scale private investment, reducing critical material dependencies—are slow going. As EPIC concludes in its report, "the update confirms that Europe remains better at building legal architecture than at forcing market outcomes."

Those are tough words for a continent battling to maintain economic influence. According to figures from the International Monetary Fund, the EU and the UK (EU28) today make up 21% of global gross domestic product (GDP)—or roughly half the combined share of the U.S. (26%) and China (17%). Twenty years ago, the order looked different: EU28 accounted for 30% of world output, while the U.S. accounted for 27% and China a mere 5%. America's share of the global pie has remained resilient in the face of China's rise over the last two decades. Europe's share? Not so much.

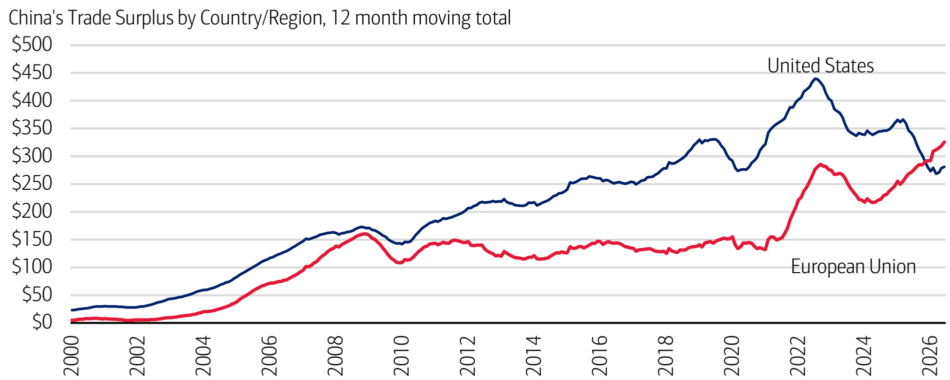
Chief among the forces working against Europe in recent years has been so-called "China Shock 2.0". Unlike the first "China shock", which featured a surge in low-value merchandise exports (textiles, apparel, furniture, etc.) following China's accession to the World Trade Organization in 2001, the latest onslaught of exports has targeted both low-value and high-value goods (electric vehicles, batteries, advanced machinery, electronics, etc.). And while America's manufacturing sector was the primary victim of China Shock 1.0, Europe has emerged as the poster child of China Shock 2.0.

Case in point: China's widening trade surplus with the EU, now running at an annual pace of $326 billion. That's more than double where it was entering this decade. In part due to protectionist measures from the U.S., China's overflow of goods has increasingly been routed to Europe and the rest of the world—so much so that, for the first time in history, China's trade surplus with the EU has surpassed its surplus with the U.S. (Exhibit 1). For comparison, at the start of the decade, China's surplus with the U.S. was nearly double its surplus with the EU.

Investment Implications

We continue to prefer the U.S. and Emerging Markets over International Developed Equities. Manufacturing-led economies in Europe remain exposed to competition from China in key industries. Still, European markets can provide strategic exposure to Value and diversification away from mega-cap Technology stocks in portfolios.

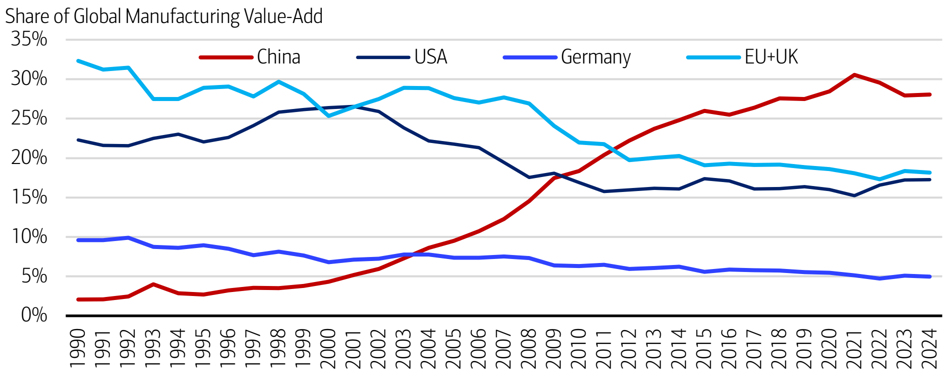
Exhibit 1: China Shock 2.0 is All About Europe.



Source: China General Administration of Customs. Data through June 2026 as of July 14, 2026.

Indeed, just as a flood of cheap imports from China gutted America's manufacturing base in the early-to-mid 2000s, Europe's manufacturing sector is feeling the pain of low-cost competition from China in everything from electric vehicles to chemicals to pharmaceuticals. Compared to China's near-30% share of global manufacturing output, the EU28's share has stagnated at roughly 18% of the global total, while Germany's has declined to 5% (Exhibit 2). Meanwhile, Chinese brands are gaining share where Europe cares most: in autos, for example, brands home to Beijing captured a record 10.9% of Europe's new car sales in June after out-selling Japan brands in Europe for the first time in May.[1] Surveys of European auto suppliers haven't been promising, either, with just 10% planning to increase production capacity in Western Europe over the next five years versus 49% in North America and 35% in China, according to the European Association of Automotive Suppliers and McKinsey

Exhibit 2: Europe and U.S. Lag in Share of Global Manufacturing.



Source: United Nations. Data as of July 2026.

And China's not the only culprit. Yes, huge government subsidies have turbocharged China's expansion across industries, with the Organisation for Economic Co-operation and Development estimating in June that subsidies alone explain nearly 60% of China firms' gain in global market share between 2005 and 2023. But a recent report from the European Trade Union Confederation points also to the more general "financialization" of Europe's largest companies—i.e., reorienting away from long-run productive investment in favor of short-run shareholder value. Owing in part to Europe's corporate tax system, corporations have increasingly absorbed profits into corporate balance sheets rather than recycling capital back into production and the broader economy. In fact, since 2009, the EU's non-financial corporate sector has saved more than it's invested, with net lending by corporations reaching 1.2% of the EU's GDP in 2024.[2]

Add low productive domestic investment to intense competition from China, and the case for Europe as a region ripe for future growth becomes a hard sell. Not helping matters: outside of its monopoly on extreme ultraviolet lithography (for now), the region has proven a relative bystander in the AI race while competition between frontier models out of the U.S. and China intensifies. Perhaps Brussels-based think tank Bruegel put it best: "Europe is, in effect, an indispensable input supplier to a race in which it does not itself compete."

All the reasons above support our tactical underweight to International Developed markets. Europe's bias toward sectors like Financials, Industrials and Healthcare can still be a helpful diversifier in portfolios in our view, particularly as Technology now accounts for 37% of the S&P 500 and 41% of the MSCI Emerging Markets Index versus 9% of the MSCI Europe Index. But with China Shock 2.0 intensifying, ongoing vulnerabilities to energy shocks, lagging productivity, and limited AI innovation, our preference for the U.S. over the old continent remains unchanged. Two years after Mario Draghi's landmark report, we're still waiting for Europe

1 European Automobile Manufacturers' Association.

2 For more, see "Labour Squeezed, Investment Stalled: The Hidden Cost of Financialisation in Europe's Corporate Sector" from the European Trade Union Confederation.

No More Surprises—Six "Surprises" That Shouldn't Surprise Investors

Joseph Quinlan, *Managing Director and Head of Market Strategy*

Investors have had to navigate various crosscurrents over the past few years, ranging from unsettled geopolitics, to fractured global supply chains, to disruptions from AI. Each one of these forces—and others—has triggered a chorus of worry among market pessimists. Yet amid the gloom, something curious keeps happening—the dire predictions of the worrywarts never happen, disappointing and "surprising" market bears. From our vantage point, successful investing requires distinguishing between genuine surprises and developments that merely surprise those bearish on the U.S. In that spirit, we briefly outline six so-called "surprises" that shouldn't surprise investors.

Surprise #1: The U.S. Consumer Refuses to Quit. To the "surprise" of many investors, U.S. consumers continue to spend—even in the face of rising inflation, higher interest rates, exploding credit card balances, debilitating levels of student loan debt and shaky consumer confidence. All these factors have lent support to those worrying about a consumer-led recession. However, what the bears miss is this: The reservoir of U.S. consumer purchasing power remains immense, backstopped by rising home values, appreciating financial assets, solid wage gains and a dynamic labor market. Yes, higher energy prices have caused consumers to trade down on products and services. And macro shocks cause consumers to postpone discretionary purchases but spending on services and essentials continues. This adaptability, along with exceptional underlying wealth, has long made betting against the American consumer a losing proposition.

Surprise #2: Higher Oil Prices No Longer Break America. Yes, crude oil prices matter, but they matter less in a U.S. economy that is more energy-efficient and less energy-dependent on foreign supplies. We are a long way from the 1970s and 1980s, when the U.S. was a significant importer of energy and thus vulnerable to repeated oil shocks that acted as a massive tax on households and businesses. Thanks to the shale revolution, the U.S. is now one of the world's largest energy producers. This serves as a buffer to volatility in the Middle East, as well as a cushion to growth since when energy prices rise in the U.S., massive segments of the domestic economy—from Texas oil fields to infrastructure and equipment suppliers—thrive. Meanwhile, energy represents a much smaller share of household spending than it did decades ago. Modern vehicles are dramatically more fuel efficient, as is the U.S. economy, which generates more output from services, software, healthcare, finance and technology than from energy-intensive manufacturing. Higher oil prices still hurt consumers at the pump, but it is important to remember—or not be surprised—that America has become significantly less vulnerable to oil shocks due to a more diversified economy and expanding domestic energy production.

Surprise #3: The U.S. Dollar Remains King. Writing the obituary for the U.S. dollar is almost a cottage industry in the U.S., so imagine the "surprise" every time the greenback bounces back or becomes a safe-haven asset for investors in times of trouble. The dollar's world reserve status continues due in large part to the fact that the U.S. possesses the world's largest government bond market, deepest capital markets, strongest property rights, and broadest range of investable assets. The buck is also backstopped by the largest and most resilient economy in the world, which maintains a steady inflow of foreign capital into U.S. securities. Global trade, commodities, banking and financial contracts remain overwhelmingly denominated in dollars because the participants trust the institutions behind the currency. Meanwhile, Europe is weighed down by structural demographic challenges, sluggish growth, and strict regulations. China faces deep real estate vulnerabilities, regulatory unpredictability, and maintains a closed capital account. And the emerging markets carry volatile currency risks and political instability. The upshot for investors: stay long U.S. dollar-denominated assets and don't be "surprised" by the enduring strength and attractiveness of the greenback.

Surprise #4: America's Budget Deficit Has Not Triggered Financial Armageddon. Trillion-dollar deficits, mounting debt and debt service levels, and relentless congressional borrowing continue to generate anxiety among investors and for good reasons. Deficits matter. But what matters more is America's ability and capacity to service its deficit and debt, and on this basis, the U.S. is not staring down the barrel of financial Armageddon.

Investment Implications

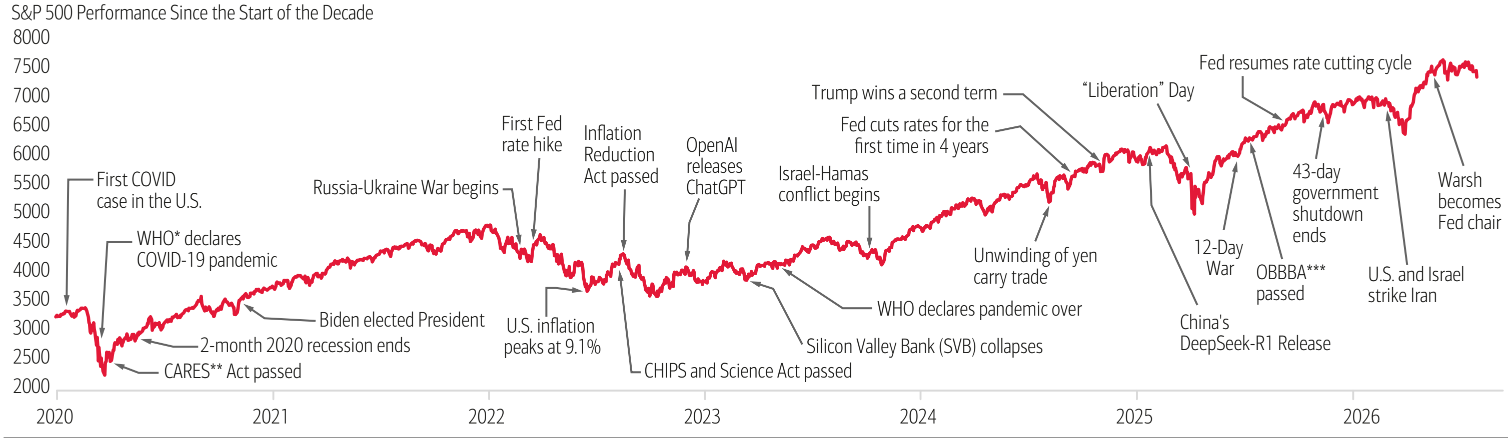
We maintain our overweight to U.S. Equities and U.S. dollar-denominated assets in portfolios owing to America's unmatched capacity to drive productivity, embrace innovation, and absorb macro shocks. We'd use any bouts of volatility to add on weakness given still-strong fundamentals.

The U.S. possesses financing advantages unique to the rest of the world—it borrows in its own currency, its debt market remains the global benchmark for safety and liquidity, and Treasurys remain the world's preferred reserve asset. In addition, America's asset base is extraordinary: the economy remains the largest and most innovative in the world, supported by abundant natural resources, world-class universities, and an unmatched entrepreneurial ecosystem. All the above provides the U.S. the time, flexibility and resilience to run budget deficits—to the "surprise" of investors. On the assumption that U.S. nominal GDP, corporate profits, productivity, and tax revenues continue to grow faster than the government's financing obligations, the debt markets are likely to tolerate U.S. deficit/debt levels that would be unsustainable almost anywhere else.

Surprise #5: U.S. Corporate Earnings Keep Exceeding Expectations. If there is one forecast that consistently "surprises" investors to the upside, it is the earnings power of Corporate America. Nearly every economic slowdown, interest-rate jolt, geopolitical crisis or policy scare is accompanied by downside profit warnings. Yet time after time, Corporate America has proven to be remarkably adept at exceeding expectations. That's not surprising since U.S. firms are some of the most adaptive in the world. Faced with rising costs, firms automate, adopt new technologies, restructure operations, reskill workers, streamline supply chains, reprice products and services, and relentlessly pursue productivity gains. Standing still isn't an option, nor is hoping for a government bailout or a favorable line of credit. In the U.S. ecosystem, you either adapt or die. The result is a corporate sector that continuously reinvents itself faster than analysts revise their forecasts. Just as important, the composition of corporate earnings has changed over the decades. Today's largest companies derive significant value from software, data, intellectual property, brands, platforms and networks rather than heavy physical assets. These allow for scale, competitive moats, and higher profit margins. This structural shift has increased the resilience of corporate profits, to the "surprise" of many investors.

Surprise #6: America Remains One of the Most Shock-Resistant Economies in the World. The greatest "surprise" of all to investors is how well the U.S. economy has been able to absorb various macro shocks that have sunk, derailed or structurally impaired other economies. A pandemic, a ground war in the heart of Europe, sweeping U.S. tariffs on the global trading system, the closure of the Strait of Hormuz—what hasn't been thrown at the economy and capital markets this decade? And yet, owing to America's capacity to drive productivity, embrace innovation and relentlessly reinvent itself, U.S. nominal GDP thus far in the 2020s has increased a staggering $10.5 trillion since the start of the decade. Meanwhile, as Exhibit 3 highlights, notwithstanding various macro shocks and jolts since 2020, the S&P 500 has continued to rise and climb—the direction, as we like to say, has been up and to the right. As of the end of July 2026, the S&P has managed a total return of 155%, which equates to annualized returns of 15.3%, above the historic average of 11.7% going back to 1945. Today, the ability to absorb shocks is all the more relevant as the markets question the credibility of the Warsh-led Federal Reserve (Fed) following last week's Federal Open Market Committee meeting. Volatility and uncertainty have become near-term market staples. But that said, don't be "surprised" to see the market adjust and reset and continue to grind higher over the long run.

Exhibit 3: Charting the Roaring and Roiling 2020s.



*World Health Organization. **Coronavirus Aid, Relief, and Economic Security Act. *** One Big Beautiful Bill Act. Source: Bloomberg. Data as of July 30, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

Is the semiconductor and broader AI buildout chain capital investment cycle rolling over, and have we experienced the top in the cycle?

Christopher Hyzy, *Chief Investment Officer*

We don't believe the latest sharp downdraft across the semiconductor and AI buildout chain is a sign that the top from June is in. The components needed to acquire the necessary compute and power are still in short supply, while the capital investment spend is still increasing. Secondly, this area of the market has traditionally experienced corrections during "speed bump" periods as the computing innovation adjusts. Building the infrastructure as the innovation transitions from training to agentic to quantum and physical AI could enter periods that require tactical shifts. Ultimately, growth rates remain high as shortages in key areas still exist across the entire supply chain. Execution of this entire process given the coordination needed can have speed bumps. Do the speed bumps turn into major slowdowns and/or recessions? They can, but this is typically late cycle not early to mid as we are currently, in our view. In order to assess the magnitude of risk to the growth outlook, we will continue to closely watch both the associated spreads of debt financing that has been increasing as well as the insurance cost of protecting against defaults (credit default swaps–CDS) across the AI space in the coming months, particularly as longer dated Treasury yields pick up (as of July 29, 30-Year Treasury yields are now at their highest levels since 2007). Finally, we believe the sharp downdraft across the semiconductor and AI buildout chain was also exacerbated by a clearing event of over-levered investors that may have had to sell indiscriminately as the momentum in the space gathered steam in the past one to two weeks. Clearing events can help establish a more normal path forward in which investors begin to focus back on the fundamentals and less on trading and technicals.

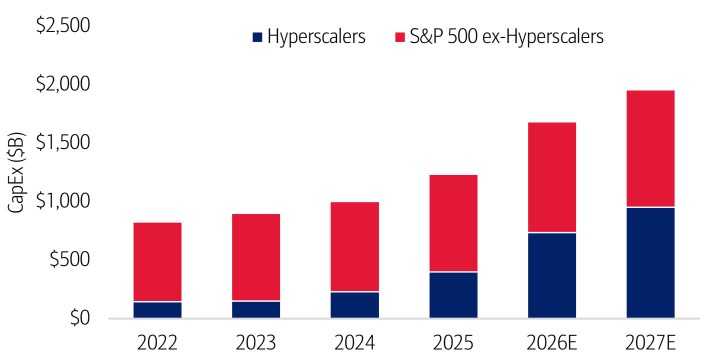
Investment Implications

We expect the semiconductor-led pullback to be a temporary derisking event rather than a major slowdown, supporting a faster recovery than in past cycles. We believe the recent market volatility appears to be a potential buying opportunity rather than a reason to stay on the sidelines.

As of late July, according to BofA Global Research, The MSCI Global Semiconductor Index had fallen more than 20% from recent June highs. Performance following past pullbacks since 1999 in global semis differ greatly depending on whether a recession follows. After previous pullbacks of similar magnitude, BofA Global Research also found that the average 12-month return was 44% when recession was avoided and 12% when a recession ensued. U.S. semis performed even better when a recession was avoided, rising 49%, but gained only 1% when a recession followed. None of the global cycle indicators show signs of an impending downturn. The signal from the Global Wave[3] is positive for the sixth month. The global earnings revision ratio improved to 1.0, and, for global semis, the ratio sits at a four-and-a-half year high of 1.41. That said, recovery could take some time. On average, it took eight months for semis to recover the 14% pullback, seven months when recessions did not follow. Given the latest forward guidance by key leaders in the AI buildout space, we expect this cycle's recovery to be quicker than those experienced in the past. Overexposure to the semiconductor and capital equipment space became extended at the end of June, and this latest correction is more a sign of derisking than a sign of a large scale slow down.

Exhibit 4: Speed Bumps are Normal, Keep an Eye on Fundamentals.

A) Capital Expenditures (CAPEX) Full Steam Ahead.



B) MSCI Global Semiconductor Index down over 20% since its June high.

E=estimate. Exhibit 4A) Hyperscalers: Amazon, Google, Meta, Microsoft, Oracle. Source: FactSet. Data as of July 30, 2026. Exhibit 4B) Green dots represent peak. Red dots represent drawdowns of more than 20% from its peak. Source: Bloomberg. Data as of July 29, 2026. It is not possible to invest directly in an index. Please refer to index definitions at the end of this report. **Past performance is no guarantee of future results.**

[3] BofA Global Research model to assess trends in the global economy.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
Equities	Current	WTD	MTD	YTD
DJIA	52,485.03	1.0	0.4	10.2
NASDAQ	25,373.85	1.6	-3.2	9.5
S&P 500	7,489.72	1.1	-0.1	10.1
S&P 400 Mid Cap	3,758.64	-0.7	-2.4	14.5
Russell 2000	2,931.34	0.1	-3.0	18.9
MSCI World	4,847.88	1.2	0.5	10.3
MSCI EAFE	3,176.14	2.0	2.0	11.6
MSCI Emerging Markets	1,665.89	2.4	-3.1	20.0

Fixed Income†

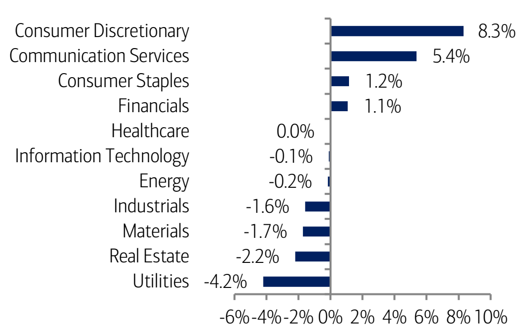
	Total Return in USD (%)			
Fixed Income	Current	WTD	MTD	YTD
Corporate & Government	4.88	-0.09	-1.29	-0.80
Agencies	4.59	0.09	-0.36	0.25
Municipals	3.93	0.13	-1.85	0.43
U.S. Investment-Grade Credit	4.98	-0.12	-1.30	-0.69
International	5.46	-0.06	-1.67	-0.83
High Yield	7.41	0.18	-0.25	1.71
90 Day Yield	3.75	3.90	3.81	3.63
2 Year Yield	4.29	4.33	4.17	3.47
10 Year Yield	4.73	4.68	4.47	4.17
30 Year Yield	5.27	5.16	4.95	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	339.73	-2.1	7.5	23.0
WTI Crude $/Barrel††	84.67	-5.2	21.8	47.5
Gold Spot $/Ounce††	4046.15	-0.2	1.0	-6.3

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.15	1.14	1.14	1.17
USD/JPY	157.40	163.83	162.55	156.71
USD/CNH	6.75	6.77	6.79	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 07/27/2026 to 07/31/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 07/31/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 7/31/2026)

Economic Forecasts	Q1 2026A	Q2 2026A	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.2	3.5
Real U.S. GDP (% q/q annualized)	2.1	1.5	2.5	2.4	2.1	2.2
CPI inflation (% y/y)	2.7	3.8	3.2	2.9	3.2	2.0
Core CPI inflation (% y/y)	2.5	2.7	2.4	2.5	2.5	2.5
Unemployment rate (%)	4.3	4.3	4.3	4.2	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.88	4.38	4.38	4.38

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of July 31, 2026.
Sources: BofA Global Research; GWIM ISC as of July 31, 2026.

Asset Class Weightings (as of 7/7/2026)

Asset Class	Underweight		CIO View Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Value				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments*					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

Sector	Underweight		CIO View Neutral		Overweight
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of July 7, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

MSCI Emerging Markets Index captures large and mid-cap representation across Emerging Markets (EM) countries.

MSCI Europe Index captures large and mid cap representation across Developed Markets (DM) countries in Europe.

MSCI Global Semiconductor Index is composed of large and mid-cap stocks across Developed Markets (DM) countries.

Important Disclosures

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